

FEDERAL MARITIME COMMISSION

DOCKET NO. 23-08

**MSC MEDITERRANEAN SHIPPING COMPANY, S.A. – POSSIBLE VIOLATIONS OF
THE SHIPPING ACT, 46 U.S.C. §§ 41102(c), 40501, and 41104(a)(2)(A)**

REPLY BRIEF OF RESPONDENT

MSC MEDITERRANEAN SHIPPING COMPANY, S.A.

PUBLIC – UNRESTRICTED VERSION

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MSC MEDITERRANEAN SHIPPING COMPANY, S.A.

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**REPLY BRIEF OF RESPONDENT
MSC MEDITERRANEAN SHIPPING COMPANY, S.A.**

Respondent MSC Mediterranean Shipping Company, S.A. (“MSC”), through undersigned counsel, hereby responds to the Bureau of Enforcement, Investigations, and Compliance’s (“Bureau”) Opening Brief (“Bureau Brief”).

I. Introduction And Summary Of Argument

In this proceeding, the Bureau seeks to impose on MSC an astonishing civil penalty of \$63,256,853.00, the highest in the Commission’s 63-year history. This penalty is approximately 8 times greater than any penalty ever assessed and more than 15 times greater than any penalty ever collected by the Commission. This unprecedented penalty is based upon (a) 18 instances in which MSC relied on the “Merchant” clause in its bill of lading and tariff to bill a notify party for certain charges; and (b) a systems error that resulted in some non-operating reefer containers (containers with refrigeration units which are turned off – so-called “NORs”) being assessed the charges applicable to operating reefer containers rather than the charges applicable to ordinary dry containers (the latter of which was MSC’s policy).

With respect to the billing of notify parties, no violation should be found and no penalty should be assessed because:

- **The penalties proposed by the Bureau violate due process.** When the law does not

provide fair notice of what is required, it is not appropriate to impose fines on conduct that allegedly violates the unclear law. The Shipping Act does not prohibit the billing of notify parties and the FMC did not publish rules addressing what parties may be billed for detention or demurrage until earlier this year. The lack of notice of what the Shipping Act requires in terms of billed parties now prevents the FMC from imposing penalties retroactively.

- **FMC precedent and federal court precedent support the billing of an agent.** Previous decisions by the FMC and federal courts support the billing of agents who act on behalf of disclosed principals. Here, the notify parties were acting as agents of the shipper or consignee. The agents also had a beneficial interest in the cargo in the form of a lien.
- **MSC's policies were/are reasonable.** MSC billed notify parties in two very limited circumstances: 1) when [REDACTED] or 2) where [REDACTED]. This practice is reasonable.
- **Many of the Bureau's claims are barred by the statute of limitations.** Five of the eighteen charges for improper billing are barred by the statute of limitations.
- **The billing of notify parties was not a practice.** In order to be a practice for purposes of the Shipping Act, conduct must be "normal, customary and continuous." These invoices do not meet that standard.

With respect to MSC's billing of certain charges applicable to NORs, the Bureau attempts, without evidence, to characterize MSC's conduct as an intentional effort to defraud and intentionally overbill customers. The Presiding Officer should not be swayed by the Bureau's frothy and unsubstantiated arguments. Finding a violation and penalizing MSC with respect to the billing of NORs would be improper because:

- **MSC's billing of NOR containers as dry containers was lawful.** FMC precedent requires ambiguities in a tariff to be resolved in favor of the shipper. To the extent MSC's tariff is considered to have been ambiguous with respect to billing NORs, MSC's policy nonetheless complied with this precedent.
- **MSC's policy was to bill NORs as dry containers; exceptions to this were the result of a systems error.** The vast majority of NOR containers were billed properly as dry containers. Incorrect billing was the result of a systems error, not a deliberate policy. When customers advised MSC that NOR containers were billed as operating reefers, MSC promptly undertook to identify and resolve the problem. Should this conduct be found to constitute a violation of the Shipping Act, any such violation was not knowing and willful.

Finally, the penalty sought by the Bureau is unlawful because:

- **The Bureau proposes a penalty that is excessive and unlawful on its face.** Penalties that depart significantly from previous penalties can be considered arbitrary and capricious and therefore unlawful. The Bureau proposes a penalty that is 8 times greater than any FMC penalty previously imposed and 15 times greater than any penalty ever collected. Moreover, the Bureau's allegations here do not rise to the level of severity of prior Shipping Act violations that received lesser penalties. The Bureau's proposed penalty of \$63M cannot be reconciled with the facts of the case or sound logic.
- **The Bureau improperly applied factors to support its proposed penalties.** The Bureau improperly proposed penalties that would apply in 2024 rather than when the alleged conduct occurred. The Bureau misapplies many of the factors the FMC is required to evaluate in determining a penalty (such as attempting to treat past settlements as prior offenses). The proposed penalties are further undermined by the facts and circumstances of the claim, including: MSC's refunding of the NOR charges, the lack of any meaningful financial benefit to MSC (both before and after refunding the charges), and the lack of support for inferences proposed by the Bureau for adoption by the ALJ.
- **At most, a much more reasonable penalty is indicated.** If violations of the Shipping Act are found, a reasonable and legally defensible penalty would be in the range of \$2 to \$3 million, based on past agency penalties and settlements, the amounts collected by MSC, and the other statutory factors the Commission is required to consider.

II. Responses to the Bureau's Proposed Findings of Fact

MSC's responses to the Bureau's proposed findings of fact are set forth in Exhibit A hereto.

III. MSC's Proposed Findings of Fact and Appendix

MSC's proposed findings of fact ("RPFF") are set forth in Exhibit B hereto. MSC's Appendix ("RA") is set forth in Exhibit C hereto.

IV. MSC Did Not Violate Section 41102(c) When Applying Its Merchant Clause

MSC's Merchant Clause is typical of those in the industry, is set forth in both its bill of lading and tariff, and is applied to notify parties in only two circumstances: (i) when [REDACTED] [REDACTED]; or (ii) [REDACTED] [REDACTED]. MSC0000033 at BEIC Appendix ("BA") MSC Production 034. The application of the Merchant Clause in these narrow circumstances was reasonable and did not

violate the Shipping Act.

The Bureau’s Brief uses pejorative language to suggest that MSC uses its “market power”¹ to “wield” the Merchant Clause in a policy which results in notify parties being assessed charges by default. This is not so. In fact, MSC’s policy is to rely on the Merchant Clause to bill the notify party, in the notify party’s capacity as agent for either the shipper or consignee, only in the two narrow circumstances described above. If, as the Bureau incorrectly suggests, it were MSC’s policy to *always* bill the notify party by default, then surely the Bureau would have been able to find more than 18 examples, 8 of which date from 2018, given the millions of containers MSC transported to/from the U.S. during 2021. BEIC PFF #5 and #6. See Attachment A to the Order of Investigation and Hearing (“Order”) in this proceeding.²

More importantly, as explained below, MSC’s application of the Merchant Clause is lawful, and imposing a penalty on MSC for such application would be contrary to law.

A. A Finding Of A Violation With Respect To The Merchant Clause Would Violate Due Process

Imposing a penalty on MSC for seeking to hold persons listed as notify party on its bills of lading liable for charges would violate due process.

¹ The assertion of “market power” is based on MSC having a market share of less than 20% of the U.S. trades. BEIC PFF #5 and #6. Yet, the Commission’s regulations conclude that market shares as high as 30% to 35% do not result in market power. 46 C.F.R. § 535.311. Courts generally require a market share in the range of 65% in order to establish a prima facie case of market power. *American President Lines, LLC v. Matson, Inc.*, 633 F.Supp.3d 209 (D.D.C. 2022), citing *Image Tech. Servs., Inc. v. Eastman Kodak Co.*, 125 F.3d 1995, 1205 (9th Cir. 1997).

² The infrequency with which MSC relies on the Merchant Clause to bill a notify party is highlighted by the fact that various shipper/forwarder organizations were proactively soliciting – on behalf of the Commission -- for examples of the Merchant Clause being used to bill notify parties. See Respondent’s Appendix (“RA”) 0082-0083 and RA0075. David Monroe is transportation counsel to the NCBFAA and Rich Roche is or has been the Vice Chair of the NCBFAA Transportation Committee and, according to the website of his company, is Chairman of the NVOCC Committee for the NCBFAA. See RA00136-00157.

1. Due Process Requires Prior Notice Of What The Law Prohibits

It is well-established that where there is no prior guidance that conduct is unlawful, an agency is precluded from imposing penalties by due process of law.

In *F.C.C. v. Fox Television Stations, Inc.*, 567 U.S. 239, 253 (2012), the U.S. Supreme Court explained:

A fundamental principle in our legal system is that laws which regulate persons or entities must give fair notice of conduct that is forbidden or required. *See Connally v. General Constr. Co.*, 269 U.S. 385, 391, 46 S.Ct. 126, 70 L.Ed. 322 (1926) (“[A] statute which either forbids or requires the doing of an act in terms so vague that men of common intelligence must necessarily guess at its meaning and differ as to its application, violates the first essential of due process of law”); *Papachristou v. Jacksonville*, 405 U.S. 156, 162, 92 S.Ct. 839, 31 L.Ed.2d 110 (1972) (“Living under a rule of law entails various suppositions, one of which is that ‘[all persons] are entitled to be informed as to what the State commands or forbids’ ” (quoting *Lanzetta v. New Jersey*, 306 U.S. 451, 453, 59 S.Ct. 618, 83 L.Ed. 888 (1939) (alteration in original))).

This fair notice doctrine extends to civil cases, particularly where a penalty is imposed. *F.T.C. v. Wyndham Worldwide Corp.*, 799 F.3d 236, 250 (3rd Cir. 2015).

Here, the statute in question is Section 41102(c) of the Shipping Act of 1984, which provides that:

A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

The foregoing statute does not provide notice that it prohibits the billing of demurrage charges to a notify party on a bill of lading when the [REDACTED]

[REDACTED]

In cases involving an unclear statute, courts will often look to agency regulations to see if they clarify the statute. *U.S. v. Approximately 64,695 Pounds of Shark Fins*, 520 F. 3d 976 (9th Cir. 2008). Where neither the statute nor the regulations provide fair notice, a penalty is

inappropriate. *See, e.g., United States v. Chrysler Corp.*, 158 F.3d 1350, 1354-55 (D.C. Cir. 1998); *General Electric Co. v. U.S.E.P.A.*, 53 F.3d 1324, 1328-29 (D.C. Cir. 1995).

The Commission itself has declined to impose penalties when it was not clear from the statute and regulations that the conduct at issue was in violation of the law. *Sea-Land Service, Inc. – Possible Violations of Sections 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984*, 29 S.R.R. 1109, 1164 (ALJ 2003), *aff’d* in relevant part at 30 S.R.R. 872, 891-92 (FMC 2006)(FMC regulations did not provide sufficiently clear notice of requirements for execution of forwarder certifications to support imposition of penalty); *Jorge Reynoso Import and Export Co. – Possible Violation of Section 44(a), Shipping Act, 1916*, 22 S.R.R. 1558, 1568 (ID 1985)(visit and verbal caution from FMC investigator were not sufficient “warning” to justify imposition of penalties).

As explained below, the Commission’s regulations did not provide MSC with fair notice that its application of the Merchant Clause was unlawful.

2. MSC Had No Notice The Merchant Clause Might Violate Section 41102(c)

Because MSC had no notice that using the Merchant Clause to bill notify parties under certain circumstances might violate Section 41102(c), imposing penalties for that conduct would violate due process.

It is undisputed that all of the invoices for which the Bureau seeks to impose penalties were issued no later than November 12, 2020. JSF ¶¶ 19-36 at BA Discovery Materials 015-017.

The Commission issued a Notice of Inquiry in Docket No. 20-16, *Vessel-Operating Common Carrier Definition and Application of the Term “Merchant” in Bills of Lading* on October 7, 2020. JSF ¶ 17 at BA Discovery Materials 015. This was a Notice of Inquiry only, not a regulation or even a proposed regulation. All but one of the 18 invoices listed in Attachment A to the Order were issued prior to the issuance of the Notice of Inquiry. JSF ¶¶ 19-36 at BA

Discovery Materials 015-017. Therefore, even if a Notice of Inquiry could be interpreted as providing guidance as to the meaning of the law (which it cannot), this Notice of Inquiry was issued at a point in time where it could not and did not provide MSC with notice of the potential illegality of 17 of the 18 invoices.

The Bureau suggests that other documents issued by the Commission put MSC on notice that the application of the Merchant Clause to bill notify parties might raise issues under the Shipping Act. However, this argument is flawed both factually and legally.

As a factual matter, the Notice of Proposed Rulemaking in Docket No. 19-05, *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, was published in the Federal Register on September 17, 2019. JSF ¶ 15 at BA Discovery Materials 014. This is after the issuance to V. Alexander of the 8 invoices identified in Attachment A to the Order. JSF ¶¶ 19-26 at BA Discovery Materials 014-015. The final rule in Docket No. 19-05 was published in the Federal Register on May 18, 2020. JSF ¶ 16 at BA Discovery Materials 015. This is after the issuance to V. Alexander of the 8 invoices identified in Attachment A to the Order and after the issuance to Welke Customs Brokers UA, Inc. (“Welke”) of 3 of the 5 invoices identified in Attachment A to the Order. Respondent’s Proposed Finding of Fact (“RPFF”) #11. Thus, these documents were issued at a point in time where they could not and did not provide MSC with notice of potential legal issues with respect to 11 of the 18 invoices.

As a legal matter, the Notice of Inquiry in Docket No. 20-16 sought information on whether VOCCs were enforcing the terms of their bills of lading against entities that had no beneficial interest in the cargo or were not party to and did not agree to be bound by the terms of the bill of lading. Notice of Inquiry, p. 3. The Notice of Inquiry did not suggest that persons listed as notify party on the bill of lading fell into any of these categories and, in fact, does not even mention the

term “notify party.” Thus, it cannot be argued that the Notice of Inquiry provided anyone with notice of any substantive legal requirements of any kind.³

The same is true of the proposed and final rules in Docket No. 19-05 insofar as use of the Merchant Clause to bill notify parties is concerned. Indeed, the Notice of Inquiry explained what the issuances in Docket 19-05 did and did not do:

As noted in the Final Rule, “the Commission’s emphasis in the NPRM that ocean carriers bill the correct party reflected concerns raised by truckers that they were being required to pay charges that were more appropriately charged to others.” 85 FR. 29638, at 29662 (May 18, 2020). Several commenters reiterated these concerns. AgTC contended that “carriers should impose detention and/or demurrage on the actual exporter or importer customer with whom the carrier has a contractual relationship.” The New York New Jersey Foreign Freight Forwarders & Brokers Association asserted that VOCCs define the term “merchant” in their bill of lading too broadly, resulting in parties being billed for demurrage and detention “regardless of whether they are truly in control of the cargo when the charges were incurred.” Id.

The Commission clarified that one of its goals for the Interpretive Rule “was to emphasize the importance of ocean carriers and marine terminal operator bills aligning with contractual responsibilities.” Id. In doing so, the Commission noted that it “does not believe it is appropriate in this interpretive rule to prescribe” specific billing practices, or to address the application of the merchant definition as it related to such practices. Id. The Commission further noted it would address such issues in the context of particular facts, considering all relevant arguments. Although the Commission incorporated reference to certain billing practices and regulations in the Final Rule, it declined to prescribe specific billing practices or regulations which would be deemed reasonable under 46 U.S.C. 41102(c).

Notice of Inquiry at 4. Thus, in the Notice of Inquiry, the Commission itself expressly stated that the final rule in Docket No. 19-05 did not prescribe any specific billing practices. Since Docket 19-05 did not prescribe any billing practices and did not address the application of the merchant definition, it could not have provided notice that reliance on the merchant clause to bill a notify party with a beneficial interest in the cargo might be considered unreasonable. For the Bureau to now argue otherwise is opportunistic and, at best, disingenuous.

³The Commission has yet to take any action in Docket No. 20-16. JSF ¶ 18 at BA Discovery Materials 015.

Moreover, even if the observations by the Commission in the supplemental information accompanying the final rule in Docket No. 19-05 can be interpreted as providing some sort of guidance (which MSC denies), those observations are not legally binding. There is nothing specific about billing in the final rule in Docket No. 19-05, and thus the regulations adopted in that docket do not apply to this proceeding. Generally, the supplemental information accompanying a regulation is not consulted by a court interpreting the regulation unless the regulation itself is ambiguous. *El Comité Para El Bienestar de Earlimart v. Warmerdam*, 539 F. 3d 1062, 1070 (9th Cir. 2008). Since the regulations adopted in Docket No. 19-05 are interpretative, impose no legal obligations, and are not at issue herein, it would be improper to refer to the supplemental information accompanying those regulations as the basis for finding that MSC had notice of the meaning of Section 41102(c) for purposes of the conduct at issue in this proceeding.⁴

B. MSC's Application of The Merchant Clause Was Reasonable

For the reasons set forth above, the Presiding Officer should conclude that MSC's application of the Merchant Clause was lawful without resorting to a factual analysis of reasonableness. However, should the Presiding Officer nonetheless determine that an evaluation of the reasonableness of MSC's application of the Merchant Clause is required, the Presiding Officer should find that such application was reasonable for the reasons set forth below.

1. Imposition Of Charges Per Tariff Is Consistent With FMC Precedent

Much of the Bureau's case on reasonableness is based on allegations that MSC is relying on the Merchant Clause as set forth in its bill of lading to impose charges on a notify party with

⁴ While the final rule in Docket No. FMC-2022-0066, Demurrage and Detention Billing Requirements, purports to clarify proper billing requirements, even that rule is unclear. The regulation states that the consignee may be billed, but the supplemental information suggests the consignee may be billed only if there is a contractual relationship (other than the bill of lading) between the billing party and the consignee. Similarly, the regulation itself does not contemplate billing any charges to motor carriers, but the supplemental information suggests there are circumstances in which a motor carrier may be billed. In any event, this final rule was issued in February of 2024, far too late to have provided MSC with fair notice, and only takes effect on May 28, 2024.

whom MSC has no contractual relationship. Both elements of this argument are seriously flawed.

As an initial matter, MSC is not relying solely on its bill of lading to impose these charges. The definition of “Merchant” upon which MSC relied is incorporated into its tariff rules governing demurrage and detention. JSF ¶¶ 10-11 at BA Discovery Materials 014.

More importantly, any suggestion that MSC may only bill those persons with whom it has a contractual relationship is a novel concept that is plainly contrary to FMC precedent. In *Meat Importers Council of America, Inc. v. Australia-Pacific Coast Rate Agreement, et al.*, a group of U.S. meat importers challenged the lawfulness of carriers billing them for a U.S. terminal handling charge on shipments of meat from Australia when the purchase price of the meat paid by the importers included freight. In his initial decision rejecting the importers’ argument, the administrative law judge quoted another decision:

Another interesting fact is that several...courts have observed that the matter as to which person pays freight due as between shippers, forwarders and consignees is not something to concern the shipping acts, which only require that the correct freight be paid by someone. See *Med-Span Shipping Services, Ltd. v. Jerry Jones Mack, Inc.*, 442 F. Supp 904, 907 (S.D.N.Y 1978)(Shipping Act, 1916 ‘requires merely that the carrier collect a full freight charge. It does not purport to impose the full freight charge on any particular party.’); *Farrell Lines Inc. v. Titan Industrial Corp.*, cited above, 306 F. Supp at 1349 (‘As long as someone is liable for the full amount of the freight, so that there is no overcharge or undercharge, the public interest is protected and the statutes [i.e., the Shipping Act, 1916 and the Transport Act] are satisfied.’)...

26 S.R.R. 170, 173 (ALJ 1992) *aff’d* 26 S.R.R. 371 (FMC 1992). The foregoing decision is noteworthy in three respects. First, it includes forwarders (who by definition are not supposed to have a beneficial interest in the cargo and who are typically not named as shipper or consignee on an ocean carrier billing of lading⁵) as well as shippers and consignees among those who can be lawfully billed by the carrier. This supports the reasonableness of MSC’s conduct.

⁵ See 46 C.F.R. §515.42(a), requiring identity of forwarder’s shipper to customer to be disclosed in shipper box on bill of lading and specifying that forwarder may appear as agent only.

Second, it suggests that the Shipping Act is not and should not be concerned with the existence of contractual relationships between the billing party and the billed party. The FMC is improperly departing from this precedent without explanation in relying on the existence of contractual relationships. Third, it involved a situation in which the ocean carriers did not have a contractual relationship with the consignees besides the tariff.⁶ Based on this precedent, the imposition of storage charges on a notify party is reasonable.

This is particularly true given that the notify parties herein at issue had a beneficial interest in the cargo subject to the charges. In this regard, Commission regulations define the term “beneficial interest” to include:

...a lien or interest in or right to use, enjoy, profit, benefit, or receive any advantage, either proprietary or financial, from the whole or any part of a shipment of cargo where such interest arises from the financing of the shipment or by operation of law, or by agreement, express or implied. The term “beneficial interest” shall not include any obligation in favor of an ocean transportation intermediary arising solely by reason of the advance of out-of-pocket expenses incurred in dispatching a shipment.

46 C.F.R. § 515.2(b); JSF ¶ 37 at BA Discovery Materials 017. Attached hereto at RA0069-0073 and RA0066-0067 are the terms and conditions governing the services provided by John S. Connor, Inc. (“Connor”) and Welke, respectively, to the cargo which incurred the charges at issue. Paragraph 14(a) of the Welke terms and conditions provides:

(a) Company shall have a general and continuing lien on any and all property of Customer coming into Company’s actual or constructive possession or control for monies owed to Company with regard to the shipment on which the lien is claimed, a prior shipment(s) and/or both;

Thus, Welke had a beneficial interest in the shipments on which MSC billed Welke for charges.

Paragraph 14(a) of the Connor terms and conditions provides:

[REDACTED]

⁶ The Bureau incorrectly assumes the carrier always has a contractual relationship with the consignee. See note 9, *infra*.



Thus, Connor had a beneficial interest in the shipments on which MSC billed Connor for charges.

Paragraph 15(a) of the standard terms and conditions of V. Alexander provides:

(a) Company shall have a continuing lien on any and all property and documents relating thereto of Customer coming into Company's actual or constructive possession, custody or control or enroute, which lien shall survive delivery, for all charges, expenses or advances owed to Company with regard to the shipment on which the lien is claimed, a prior shipment(s) and/or both. Customs duties, transportation charges, and related payments advanced by the Company shall be deemed paid in trust on behalf of the Customer and treated as pass through payments made on behalf of the Customer for which the Company is acting as a mere conduit.

RA0159-RA0162.⁷ Thus, V. Alexander had a beneficial interest in the shipments on which MSC billed V. Alexander for charges.

This case is not one in which the notify parties should have been surprised to be billed for charges. MSC's tariff and sea waybill included persons acting on behalf of persons entitled to possession of the goods covered by the bill of lading among the persons who may be liable for the charges.⁸ BEIC PFF #18 and #19. Here, the notify parties had a beneficial interest in the cargo, were named on the MSC bills of lading, and were acting on behalf of the shipper and/or consignee. Accordingly, it was reasonable to bill these entities for these charges under FMC precedent.

⁷ V. Alexander did not respond to the subpoena served on it in this proceeding. MSC applied to the U.S. District Court for the Western District of Tennessee for an order enforcing the subpoena, but the court has not acted on that request as of the date of this brief. These terms and conditions were printed from https://www.valexander.com/wp-content/uploads/2019/05/valexander_terms_and_conditions.pdf on May 2, 2024.

⁸ The tariff constitutes notice to and is binding on the shipping public. *Kraft Foods v. Moore McCormack Lines, Inc.*, 17 FMC 320, 324, n. 4 (shipper's knowledge of lawful rate is conclusively presumed).

2. MSC's Invoice Policy Is Reasonable

MSC's policy for assigning the invoice company is reasonable.

The Bureau wildly mischaracterizes MSC's invoicing policy as calling for the issuance of invoices to the notify party rather than the consignee. Bureau Brief at 46. This is simply not the case. The process used by MSC to determine who receives the invoice for a U.S. import shipment is spelled out in MSC0000033, found at BA MSC Production 034. The notify party is only billed when (a) [REDACTED] or (b) [REDACTED]. *See id.* The result is that MSC bills the notify party, in its capacity as agent, in limited circumstances only. This is reasonable and not "irresponsible."

As the Bureau has indicated, the notify party is an entity that the shipper or consignee wants to be informed of the arrival of the cargo. Where the [REDACTED], it is perfectly reasonable to conclude that the entity designated to receive notice of arrival is acting on behalf of the consignee with respect to the shipment and is therefore an appropriate entity to receive an invoice. For example, in the case of the Welke shipments, MSC and Welke shared a common customer: the shipper [REDACTED] in Argentina. *See, e.g.,* BEIC000080 and RA0066-0067. Since MSC had no contractual or credit arrangement with the consignee [REDACTED] it billed the agent of the shipper, Welke.⁹ This is neither irresponsible or unreasonable.¹⁰

Moreover, where the [REDACTED], it is presumably the agent listed as notify party that will be arranging for the transport of

⁹ The Bureau argues repeatedly that MSC should have billed the consignee. *See, e.g.,* Bureau Brief at 51. However, MSC had no privity with the consignee in the case of the [REDACTED] shipments, which calls into question the soundness of the Bureau's position. The Bureau's own Proposed Findings of Fact show that consignees do not necessarily accept responsibility for payment. BEIC PFF #166. The facts also demonstrates that the focus of the Commission and the Bureau on contractual relationships is misplaced and that MSC's conduct was reasonable.

¹⁰ Moreover, MSC did not open an account for Welke simply to bill these charges. Welke had an account with MSC because it had previously paid amounts due on behalf of its customers. RPFF #7; RA0024-0028.

the cargo beyond the point of delivery. Once again, billing that entity is entirely reasonable.

The Bureau's allegation that it was MSC's policy to always bill the notify party suffers from two flaws, each of which is fatal. First, the Bureau relies on a small number of emails from lower level personnel in a local MSC office (some of which are dated from 2022, well after the issuance of the Merchant Clause invoices at issue) to argue that MSC's policy was to bill notify parties by default. These emails cannot and do not override the corporate policy approved by the President of MSC's U.S. operations. MSC0000033 at BA MSC Production 34. Second, the Bureau's argument is not supported by the facts. By the Bureau's own account, MSC was moving millions of containers per year. The Commission actively solicited examples of use of the Merchant Clause from shipper and intermediary organizations. See RA0075 to RA0083. In this case, the Commission has presented evidence of 18 such examples. If MSC's policy were to always bill the notify party as the Bureau claims, then there should be thousands of such examples. Yet, there are not. The Bureau is mistaken in its characterization of MSC's policy with respect to the billing of notify parties.

3. Imposition of Charges On An Agent Is Consistent with FMC Precedent

Moreover, holding an agent responsible for the charges incurred by its principal is consistent with FMC precedent. In *West Gulf Maritime Association v. Port of Houston Authority of the Port of Houston, TX*, 21 F.M.C. 244 (FMC 1978), the Port of Houston sought to bill wharfage to vessels and vessel agents even though it was a charge against the cargo. The Commission found this entirely reasonable, saying that it furthered efficient operations at the port to "insur[e] all revenues due the port are collected by extending the liability for wharfage to all persons who derive a benefit from the use of the wharves" 21 F.M.C. at 249. The Commission also noted that

similar practices were in effect at other ports, which supported reasonableness.¹¹ Finally, the Commission concluded that an agent's use of the facility created an implied agreement to be bound by the tariff. *Id.* at 250. The Commission's decision was affirmed by the D.C. Circuit, 610 F.2d 1001 (D.C. Cir 1979).

The Commission reached the same conclusion in *West Gulf Maritime Association v. Port of Houston Authority*, 22 F.M.C. 420, 421(1980), stating that "the port charges for which the vessel agents are made liable are reasonably related to the vessel interests use of the ports and are therefore reasonably borne by the vessel agents."

The D.C. Circuit revisited the issue once again in *Plaquemines Port, Harbor & Terminal District v. FMC*, 838 F.2d 536 (D.C. Cir. 1988). In that case, the Court observed:

The question is whether it is reasonable to hold indirect users liable for the debts incurred by their principals, the direct users. The FMC has consistently upheld such tariff collection practices as a reasonable means of collecting tariff fees due.

838 F.2d at 549-550.¹²

In sum, it is well-established under FMC precedent that holding an agent liable for the obligations of its principal is a reasonable practice that constitutes an efficient means of collecting tariff fees due. Billing a notify party that has a beneficial interest in the cargo (*see pp. 11-12, supra.*) and benefits from the contract evidenced by the bill of lading in the form of compensation for customs clearance and/or other services provided is indistinguishable from the billing of agents that the Commission repeatedly held reasonable in the past.

The Presiding Officer should resist application of a novel and unsupported interpretation

¹¹ It is unclear why the Commission now takes a contrary position, and seems to be of the view that because numerous carriers have a broad definition of "Merchant," that makes the definition unreasonable.

¹² *See also, Marine Terminal Tariff Provisions Regarding Liability of Vessel Agents*, 27 S.R.R. 611, 615 (FMC 1996) (declining to start a rulemaking about imposing liability on vessel agents and noting that, because agents could protect themselves by contractual provisions with their principals, the alleged problem was "largely of [the agents'] own making.")

of the law and should instead adhere to existing precedent and find MSC's application of the Merchant Clause was reasonable.

4. MSC's Application Of The Merchant Clause Was Reasonable Under Federal Court Precedent

MSC's billing of notify parties for charges was reasonable under federal court precedent. In *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294 (S.D.N.Y. 2014), MSC sought to collect unpaid demurrage from an entity named on its bill of lading as agent for a principal that was also listed on the bill of lading. The booking had been made by the agent, and MSC was not aware that it was acting as an agent until it received the bill of lading instructions that disclosed the principal. The defendant agent argued that, since it was identified on the bill of lading as agent for a principal that was also disclosed on the bill of lading, any charges were the responsibility of the principal and not of the agent. In granting summary judgment in favor of MSC, the court rejected the defendant agent's argument and held the agent liable because the defendant agent fell within the definition of "Merchant" in MSC's bill of lading.

This federal court decision is consistent with the Commission's own precedent, discussed above. Where both the FMC and federal courts have found it reasonable to hold the agent of a disclosed principal liable for the obligations of the agent, the Presiding Officer should now find the same conduct to be reasonable.

C. The Statute Of Limitations Precludes The Assessment Of Penalties On Several Shipments

Under the Shipping Act, a proceeding to assess a civil penalty must be commenced within five years after the date of the violation. 46 U.S.C. § 41109(e). The Order in this proceeding ("Order") was issued on August 10, 2023. Thus, in order to be able to assess a penalty with respect to any violation at issue in this proceeding, the violation must have occurred after August 10, 2018.

Attachment A to the Order lists 8 invoices issued to V. Alexander & Co., Inc. ("V.

Alexander”). Five of those invoices were issued prior to August 10, 2018:

<u>Invoice No.</u>	<u>Date of Invoice</u>
190000057911R	February 12, 2018
190000058539R	February 12, 2018
190000058338R	February 12, 2018
190000060568R	April 11, 2018
190000061236R	May 2, 2018

Joint Stipulations of Fact (“JSF”), ¶¶ 19-23, Bureau’s Appendix (“BA”) at Discovery Materials 015. Accordingly, the statute of limitations bars the imposition of any penalty with respect to the foregoing invoices.

The Bureau argues that the statute of limitations was extended by MSC sending reminders that the invoices remained unpaid (Bureau Brief at 43-44). The precedent cited by the Bureau does not support the Bureau’s position. The case cited by the Bureau, *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 32 S.R.R. 1185 (F.M.C. 2013), holds that the statute of limitations begins to run when the defendant commits an act that injures a plaintiff’s business. In *Maier*, that act was the execution of a lease, and payment of monthly rent under that lease did not extend the statute of limitations. Here, in the context of the NORs, the Bureau concedes that the act allegedly causing injury to the business of the billed parties was the issuance of the invoice. Bureau Brief at 55. The same is true with respect to the issuance of an invoice to a notify party.

The purpose of a statute of limitations is to provide certainty and prevent the adjudication of stale claims. 51 Am. Jur. 2d *Limitation of Actions* § 7. To function properly, statutes of limitation require bright line rules rather than case-specific determinations. *Id.* at § 2. These

principles preclude the application of a penalty with respect to the five invoices listed above. Otherwise, the Bureau's approach to the statute of limitations would mean that any person who received and refused to pay an invoice could "extend" the statute of limitations for challenging that invoice by corresponding with the billing party and then alleging that the billing party's correspondence extends the statute of limitations. That result would be absurd.

MSC respectfully requests that the Presiding Officer find the statute of limitations bars the imposition of penalties with respect to the five invoices issued prior to August 10, 2018.

V. MSC's Treatment of Non-Operating Reefer Containers Was Not A Knowing And Willful Violation of the Shipping Act

MSC concedes that it did not have a separate demurrage charge specifically applicable to NORs in its tariff during 2021 and respectfully submits that the law did not require it. MSC further concedes that some customers were mistakenly charged the operating reefer charges for NORs during 2021. JSF ¶¶ 39-40 at BA Discovery Materials 017. However, MSC vehemently denies the Bureau's false accusation that this was a deliberate strategy to enable MSC to impose higher reefer charges on NORs or that it was a knowing and willful violation of the Shipping Act. There is no evidence in the record to support the Bureau's allegation. The Bureau knows this, which may explain why it strategically refrained from taking any depositions of the relevant MSC personnel.

A. It Was MSC's Policy To Charge NORs As Dry Containers

Contrary to arguments made by the Bureau in its brief, MSC's policy was to charge NORs as dry containers.

As an initial matter, the policy is evidenced by documents in the record. More specifically, on the document found at BA MSC Production 196, the last line before the table begins states:

Special setup: **NoR = DV/HC conditions/Chassis** (bold type in original).¹³ This statement reflects that NORs are to be treated as dry van containers for purposes of free time and per diem in the United States.

This policy is also clearly reflected in the March 9, 2022, letter from MSC to Shadrack Scheirman, the Commission's Seattle Area Representative. BA at BEIC000139–BEIC000140. In the letter, MSC indicates that it imported 20,121 NOR containers into the United States in 2021. *Id.* The letter also indicates that MSC charged demurrage or detention on 11,480 NOR shipments. *Id.* The Bureau alleges that operating reefer charges were assessed on 2,629 NORs. That means that the remaining NORs on which demurrage/detention was billed – 8,851 – were correctly billed as dry containers. If MSC's policy was to bill NORs at operating reefer levels, then the vast majority of NORs would not have been billed as dry containers. The only possible conclusion that can be reached based on this evidence is that it was MSC's policy to bill NORs as dry containers and that the 2,629 instances in which this do not occur were the aberration, not vice-versa.

This conclusion is consistent with the initial decision in *SeaFair USA LLC v. Sterling Container Line Ltd. and Atlantic Forwarding Ltd.*, FMC Docket No. 22-34 (Initial Decision April 15, 2024). In *SeaFair*, the complainant alleged that Respondents' purported failure to pay certain document-turnover fees constituted a violation of Section 41102(c) the Shipping Act. In finding that the failure to pay did not occur on a normal, customary, and continuous basis (and thus did not violate Section 41102(c), the Presiding Officer wrote:

If the course of dealing between the parties is sufficiently unambiguous to establish an agreement to pay a specific amount of money for a specific set of services – and *SeaFair* is correct that it is – it is difficult to conclude that the same course of dealing establishes a customary refusal to pay for those services at all.

¹³ “DV” means “dry van” or standard dry container. “HC” means “high cube,” or a dry container which is slightly taller than a standard dry container.

Initial Decision at 16. Here, the evidence with respect to MSC's billing of demurrage on NORs shows that the course of conduct was to bill NORs as dry containers. This precludes a finding that MSC's policy was to bill NORs as operating reefers,¹⁴ and also supports a conclusion that MSC's conduct was not knowing and willful.

The Bureau's argument that it was MSC's policy to bill NORs as operating reefers is circumstantial and is based on three facts: (i) that MSC imposed reefer charges on NORs in a significant number of instances; (ii) an email from December of 2022, suggesting that MSC's CEO expressed concern about the accuracy of billing demurrage, detention and per diem charges; and (iii) that MSC published NOR charges in non-U.S. trades but not in the U.S. trades. However, these circumstantial arguments fail under the weight of direct evidence cited above.

It is true that charges were applied incorrectly in a number of instances, and MSC regrets this error. However, as noted above, NORs were billed correctly far more often than they were billed incorrectly. The Bureau's reliance on an email from late 2022 (BA at MSC Production 237) that suggests MSC's CEO expressed concern about billing accuracy as support for the proposition that MSC was knowingly and willfully billing NORs as reefer containers in 2021 is preposterous. First, there is nothing in the email that suggests the concern expressed had anything to do with the billing of NORs specifically as compared to the accuracy of billing generally. Second, the email is from December of 2022, more than a year after the events at issue in this proceeding. The Bureau's reliance on this isolated email shows the lengths to which they have to go in an unsuccessful effort to overcome the direct evidence cited above.¹⁵

¹⁴ These facts also call into question whether the billing errors with respect to NORs were sufficiently normal, customary and continuous to constitute a practice within the meaning of Section 41102(c). MSC maintains they were not.

¹⁵ The disingenuousness of the Bureau's arguments on the allegedly knowing and willful nature of the NOR issue is exposed in its position on the audit of invoices and the refund of mistaken charges. The alleged lack of audit and

The Bureau's arguments with respect to the significance of publishing a tariff charge for NORs in non-U.S. trades are logically flawed. MSC is not aware of any jurisdiction in the world that has a tariff publication regime similar to that of the United States and is not aware of any jurisdiction that can penalize carriers for failing to adhere to any tariff they may publish. Thus, what a carrier does in another trade is of little relevance to what it does or does not do in the U.S. trades. Accordingly, what MSC may or may not have done in non-U.S. trades is not probative of its intent in the U.S. trades, particularly in light of the frequency with which NORs were billed as dry containers.

B. MSC's Billing Of NORs As Dry Containers Was Consistent With Applicable Law

MSC's approach to the billing of NORs was consistent with applicable law.

In this regard, the absence of a specific NOR charge in MSC's tariff at most rendered the tariff ambiguous – should the NOR be billed as a dry container or a reefer? One could theoretically answer the question either way¹⁶ When a tariff is ambiguous, the law requires the ambiguity to be resolved in favor of shipper. *United States Borax & Chemical Corp. v. Pacific Coast European Conference, et al.*, 11 FMC 451, 463 (FMC 1968)(where two tariff rates are equally appropriate, shipper entitled to lower rate); *Gelfand Manufacturing Company v. Bull Steamship Line, Inc.*, 1

failure to refund mistaken charges immediately are cited as facts that allegedly demonstrate the knowing and willful nature of the purported violation. Yet, the Bureau also takes the position that once the invoice is issued, the carrier is liable for a violation even if it then refunds the mistaken charge. Therefore, according to the Bureau, anything less than perfection is necessarily a knowing and willful violation. This is an absurd position that is inconsistent with Commission precedent, which holds that less than perfect conduct does not amount to a Shipping Act violation. *See Bakerly, LLC v. Seafrigo USA Inc.*, Docket No. 22-17, Initial Decision at 47 (FMC Jan. 3, 2024)(holding that even the absence of systemic controls that would allow for accurate demurrage and detention invoicing shows merely a practice of "sloppy recordkeeping" rather than a Shipping Act violation). The Bureau's position is also inconsistent with the inclusion of dispute resolution policies and practices among the factors the Commission considers when assessing the reasonableness of demurrage and detention. *See* 46 C.F.R. §545.5(d) and the Commission's forthcoming requirement that dispute resolution information be included in demurrage invoices. Future 46 C.F.R. §541.6(d). If a mere mistake is a violation of law, why would a dispute process be necessary?

¹⁶ Moreover, because reefer containers are more expensive to purchase or lease than dry containers and when operating as reefers typically carry higher-rated cargo than dry containers, it would be reasonable for a carrier to incentivize the pick-up/return of such containers by imposing higher charges on NORs than on dry containers.

USSSB 169, 171 (1930)(ambiguity in tariff construed against carrier). MSC followed this legal principle and a reasonable commercial approach by establishing a policy pursuant to which NORs were billed the lower charge applicable to dry containers.

Not only did MSC take the lawful course of action in dealing with an ambiguous tariff by billing NORs as dry containers, the fact that it did so shows that there is no violation of Section 40501 in this case. If MSC had failed to publish a charge applicable to NORs, then the Bureau should be alleging that MSC violated the Shipping Act by billing 8,851 NORs as dry containers when there was no NOR rate in the tariff. Since the Bureau is not making that allegation or claiming that the NORs billed as dry containers were billed at anything other than the dry container charge published in MSC's tariff, they are admitting that these 8,851 containers were properly billed, meaning that MSC could not possibly have failed to publish a charge applicable to those containers.

C. MSC Remedied The Problem Soon After It Was Discovered

MSC's billing of NORs was not a knowing and willful violation of the Shipping Act. This conclusion is affirmed by the affidavit of Mr. Marco Sidoti, the Nationwide Demurrage/Detention/Perdiem Director at Mediterranean Shipping Company (USA) Inc., the U.S. agent for MSC. BA at MSC Production 504-508 ("Sidoti Aff."). As the Sidoti Aff. indicates, MSC had instructed its terminals to bill NORs as dry containers. Sidoti Aff. ¶ 6. Moreover, NOR shipments moving under service contracts were all billed as dry containers. Sidoti Aff., ¶ 18. These facts demonstrate that MSC did not have a policy of billing NORs as reefer containers.

Mr. Sidoti became aware of errors in invoices for NORs on or about September 2, 2021. Sidoti Aff, ¶ 7. These errors were traced to a clerical error in MSC's Management Agency Rating System. Sidoti Aff., ¶¶ 3, 8, 14-16. That error was corrected shortly thereafter. Sidoti Aff., ¶ 21. Again, this demonstrates that MSC did not have a policy of billing NORs as reefer containers, and

that the billing of NORs as reefers was an inadvertent error which was promptly corrected.

The Bureau suggests that certain correspondence shows that the NOR billing problem was not corrected in mid-September of 2021 as the Sidoti Aff. indicates. As explained below, this is not accurate.

As an initial matter, much of the correspondence cited by the Bureau relates to invoices that were issued prior to September 16, 2021, even though the correspondence in question was exchanged after that date. More specifically:

- The correspondence described at BEIC PFF 210-220 and BEIC PFF 248-260 relates to numerous invoices, all but one of which pre-date September 16, 2021.
- The invoices discussed at BEIC PFF233-235 date from July of 2021. BEIC PFF233.
- The invoices discussed at BEIC PFF246-247 date from July of 2021.
- The dates of the invoices that are the subject of BEIC PFF261-264 are unclear and thus do not support the Bureau's argument.
- The date of the invoice discussed at BEIC PFF265-277 is not clear but relates to a container transported on a vessel that arrived in New York on September 8, 2021 and departed on September 10, 2021. MSC0000625 at BA MSC Production 182. That call pre-dates the correction of the invoicing problem, which suggests the invoice would as well.
- The date of the invoice discussed at BEIC PFF278-283 is also not clear.

RPFF #38 through #41. In short, none of the foregoing examples support the Bureau's position that MSC did not correct the problem as of September 16, 2021.

The two containers discussed by the Bureau at BEIC PFF 236 are the same two containers discussed at BEIC PFF 239 through 245 (identical container numbers identified at MSC0000753 and MSC0000765). These two containers, and the containers discussed at BEIC PFF 221-232, appear to be the only actual examples of post-September 16, 2021 mischarging of NORs as operating reefers produced by the Bureau. The fact that an extremely limited number of NORs

may have been charged incorrectly after September 16, 2021, does not mean the systems issue which caused the application of reefer charges to NORs was not fixed as of that date. Mistakes and problems can and do occur in the ordinary course of business, and the occurrence of the handful of mistakes cited by BEIC is not evidence that MSC had a policy of billing NORs as though they were operating reefers or that Mr. Sidoti's affidavit is inaccurate. Indeed, if the correspondence cited by the Bureau shows anything, it shows that (a) it was MSC's policy to bill NORs as dry containers; and (b) when mistakes in the application of this policy were brought to MSC's attention, it corrected them.

VI. The Bureau's Proposed Penalty Is Unsupported by Law and Fact

The Bureau seeks a penalty of more than \$63 million – approximately 8 times greater than any penalty ever assessed and 15 times greater than any penalty ever collected by the Commission. Such a penalty is unwarranted by law and fact.

A. The Penalty Sought By The Bureau Is Unlawful On Its Face

The largest penalty ever assessed by the FMC was \$7,900,000.¹⁷ *Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, FMC Docket No. 02-06. The penalty sought in this proceeding – which is 8 times greater – is unlawful on its face.¹⁸

While courts generally defer to agency determinations with respect to sanctions, courts will

¹⁷ In response to a discovery request from MSC, the Bureau denied that \$4 million was the largest penalty ever assessed and cited to a decision in which a penalty of \$4,082,500 was purportedly assessed. RA0165, Response to RFA #12. This was inaccurate in two respects – it ignored the penalty in *Hudson*, and it ignored the fact that the Commission later reduced the \$4,082,500 penalty in the cited decision to \$800,000. *Sea-Land Service, Inc. – Possible Violations of Sections 10(b)(1), 10(b)(4), and 19(d) of the Shipping Act of 1984*, 30 S.R.R. 872 (F.M.C. 2006). The Bureau's apparent unfamiliarity with the Commission penalty history demonstrates the disdain the Bureau has for acting consistently as required by law.

¹⁸ The decision in *Hudson* was a default decision, and there is no evidence that penalty was ever paid. It appears the largest penalty ever issued and collected by the Commission remains the \$4 million penalty issued to Sea-Land in 1979.

overturn agency-determined sanctions if the sanctions are excessive or arbitrary or are not reasonably related to the violation so as to constitute an abuse of discretion or are unwarranted in law or unjustified in fact. *University of Texas M.D. Anderson Cancer Center v. U.S. Dept. of Health and Human Services*, 985 F.3d 472 (5th Cir. 2021)(\$4 million penalty imposed for failure to protect confidential data vacated and case remanded where agency had imposed no penalty for other instances of similar conduct); *Monieson v. Commodity Futures Trading Commission*, 996 F.2d 852, 858, 862, 865 (7th Cir. 1993) (\$500,000 penalty reduced to \$200,000 because it dwarfed fines in prior agency cases). The Commission has recognized the need for consistency in the assessment of penalties. *Stallion Cargo, Inc. – Possible Violations of Sections 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, 29 S.R.R. 204, 217 (ALJ 2001).

Here, a penalty more than 15 times greater than any penalty ever collected by the Commission is so far beyond the realm of what the Commission has done that it simply cannot be justified on any rational basis, certainly not for billing errors.

This is illustrated by a comparison of the proposed penalty with other settlements by the agency. For example, between late 2013 and the fall of 2016, the Commission entered into settlement with four roll-on/roll-off (“ro-ro”) carriers. These carriers were accused of engaging in willful concerted activity over extended periods of time (several years) without filing agreements with the Commission. The penalties paid by these carriers to settle claims of operating for several years under unfiled agreements ranged from \$1.1 million to \$1.5 million. RA0130-0135. MSC believes it would be difficult for the Commission to explain to the U.S. Court of Appeals why engaging in concerted, anti-competitive conduct without filing an agreement merits a penalty of no more than \$1.5 million and while the conduct at issue in this case warrants a penalty in excess of \$63 million.

More recent settlements should also be compared to the penalty sought in this case. In Docket No. 21-09, the respondent was alleged to have unreasonably refused to waive detention charges from a period of two years. That case was settled for \$2 million. RA0124-0128. Here, the duration of the NOR problem was shorter than the detention-related conduct at issue in Docket No. 21-09, suggesting that the penalty in this case should be similar to or even lower than the settlement in that proceeding.

B. The Bureau Has Misapplied Many Of The Factors The Agency Is Required To Assess

When assessing a penalty, Section 502.603 of the FMC's regulations requires consideration of the nature, circumstances, extent, and gravity of the violation committed and, with respect to the violator, the degree of culpability, any history of prior offenses, the ability to pay, and such other matters as justice may require. Consideration of these factors shows the Bureau has misapplied many of them and that the proposed penalty far exceeds what would be warranted should a violation be found.

1. *The Nature, Circumstances, Extent, And Gravity Of The Alleged Violations Do Not Warrant A Penalty of the Magnitude Proposed By The Bureau*

The nature, circumstances, extent and gravity of the alleged violations weigh in favor of a much lower penalty in the event one or more violations are found. These issues are considered separately below for the Merchant Clause and NORs.

With respect to the Merchant Clause, the extent of the alleged violations is very limited – 18 instances, most of which occurred well before there was any indication from the Commission that billing a notify party that acts as agent of a party to the bill of lading might raise Shipping Act

issues. The nature of the conduct was to apply a clause common to many carriers in the industry,¹⁹ which was widely available to both the public and the Commission (being published in the tariff in addition to being on the bill of lading), in a limited set of circumstances set forth in a written company policy. This was done, as noted above, in an environment in which there was no notice that use of the clause in this manner might potentially be unlawful. Given the foregoing and the relatively small amount at issue (a total of just over \$10,000), the gravity of the Merchant Clause conduct is very low.

With respect to the NOR issue, the extent of the alleged violations was more substantial, involving just over 2,600 shipments. However, as mentioned in the discussion of MSC's policy, that represents a substantial minority of the total of NOR shipments MSC transported to the United States in 2021 and an incredibly small percentage (0.05%) of the almost 5 million TEUs MSC imported into the United States during 2021. BA at BEIC000258. The nature of the conduct was a failure to adhere perfectly to a lawful policy of applying MSC's tariff in favor of the customer. Moreover, the conduct occurred during 2021, when supply chains were congested, there were substantial issues in moving cargo in a timely manner, and there were large numbers of questions and disputes regarding demurrage and detention, making detection of this issue more difficult. While perhaps more serious than the Merchant Clause issue, the NOR issue is nonetheless not as grave as Shipping Act violations such as failing to file an agreement to authorize anti-competitive, market-distorting activity in the form of fixing prices and allocating customers. Unlike a situation in which the market is being distorted without the knowledge of the customer and the customer has little or no recourse, here, customers impacted by the billing of NORs could and did complain

¹⁹ Carriers are required to publish sample copies of their bills of lading in their tariffs. 46 C.F.R. §520.4(a)(5). The Presiding Officer may take judicial notice of the similarities of the Merchant Clauses of various ocean carriers as published in the carriers' tariffs. 46 C.F.R. §502.226.

to MSC (which refunded charges). They also had the ability to use other carriers.²⁰

2. *There Is A Low Degree of Culpability*

Insofar as the Merchant Clause is concerned, there is no culpability. MSC was applying what it believed to be a lawful provision of its bill of lading and tariff in a limited set of circumstances in a manner that it believed to be reasonable with no notice from the agency to the contrary.

Culpability, if any, with respect to the NORs is low. MSC is responsible for the content and application of its tariff and accepts that responsibility. However, the evidence in the record clearly demonstrates that it was MSC's policy to apply dry container charges to NORs, that it did so in the vast majority of cases, and that any failure to do so was the result of an unintentional error in a computer system, which was corrected promptly after detection.²¹ Moreover, MSC corrected invoices and refunded charges when requested to do so and undertook to refund all remaining charges where a request was not made.²²

Furthermore, the NOR issue was the subject of an FMC staff investigation, one in which MSC responded voluntarily and truthfully to FMC requests for documents and information despite being under no legal obligation to respond. To the extent an unintentional systems error is found to be a Shipping Act violation, the above elements reduce culpability and demonstrate MSC's

²⁰ The Commission has found that the major U.S. east-west trades, i.e., the trades between the U.S. and Asia and Europe, are either unconcentrated or only slightly concentrated. *See, Effects Of the Covid-19 Pandemic On The U.S. International Ocean Supply Chain: Stakeholder Engagement and Possible Violations of 46 U.S.C. § 41102(c)*, (FMC Final Report, May 31, 2022), p. 6 and 44.

²¹ Although MSC does not go so far as to argue that the system error constituted the one and only violation with respect to NORs, it should be considered a mitigating factor that all instances of NORs being charged as operating reefers stemmed from this single mistake, which was difficult to detect due to the volume of cargo moving during the pandemic, the chronic supply chain problems arising as a result of that volume, and the number of demurrage/detention issues caused by the supply chain problems.

²² The Bureau chides MSC for the velocity of the refunds, ignoring the fact that in many cases the demurrage charges were paid by a third party (such as a motor carrier) on behalf of the cargo interest, making it difficult to identify the entity properly entitled to the refund. Moreover, there were other administrative considerations, such as obtaining required tax documentation, that complicated the refund process. *See, e.g.*, RA0002-0005.

interest in operating lawfully.

3. *MSC Has No History of Prior Offenses*

The only “prior offenses” cited by the Bureau are four compromise agreements entered into between the Commission and MSC, the most recent of which was in 2006.

The Bureau’s assertion that compromise agreements constitute prior offenses is contrary to existing law, and the Bureau makes no good faith argument for a change in that law. In *Sea-Land Service, Inc. – Possible Violations of Section 10(b)(1), 10(b)(4) and 19(d) of the Shipping Act of 1984*, the Bureau argued that prior settlements constituted prior offenses. The Commission flatly rejected that argument and found that Sea-Land had no prior offenses. The Commission stated that settlement agreements “cannot be aggravating factors as they do not represent a full litigation of the merits of the alleged violations.” 30 S.R.R. 872, 894, n. 9. Moreover, the releases included by the Bureau in its Appendix clearly reflect that MSC made no admission of any violation in those compromise agreements. See, BEIC000303 and BEIC000305.

In light of the foregoing, the Presiding Officer should disregard the Bureau’s baseless argument and find that MSC has no prior offenses.

4. *Ability to Pay Is Not A Mitigating Or Aggravating Factor*

MSC is a privately held company based in Switzerland. It does not publish financial results, or comment on reports or estimates of financial results. Accordingly, MSC takes no position on its ability to pay. MSC does not argue that any penalty should be mitigated due to an inability to pay but notes that, while an inability to pay is a mitigating factor, the ability to pay a substantial penalty (which MSC neither admits or denies) is not an aggravating factor. In other words, while an otherwise appropriate penalty might be reduced due to the inability of the respondent to pay, an otherwise appropriate penalty is not increased simply because the respondent

has or may have the ability to pay a higher penalty.

C. Justice Requires Consideration Of Other Factors That Weigh Heavily In Favor Of A Lower Penalty

There are a number of other factors that must be considered in determining the amount of any penalty assessed in this proceeding, all of which weigh heavily in favor of a lower penalty, should any penalty at all be assessed.

1. The Bureau Applies The Wrong Penalty Amounts

Just as the Bureau ignored existing law in arguing that settlements constitute prior offenses, it ignores the law with respect to the level of penalty to be assessed.

The Bureau's calculation of a proposed penalty suffers from two legal deficiencies. First and foremost, the Bureau applies the penalty amounts in effect in 2024 to all conduct. Bureau Brief at 78. The Bureau does so despite having been ruled against previously with respect to this same issue, including in a case they cite in support of their penalty arguments.

The Commission applies the law in effect at the time the conduct occurred. *20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Co. AS*, FMC Docket No. 23-12, Order Granting Respondents Partial Motion to Dismiss (March 25, 2024) at 5 (pre-OSRA 2022 version of Shipping Act applies to conduct alleged to have occurred prior to passage of OSRA 2022). This includes the amount of the penalty to be assessed. *Hapag-Lloyd, AG and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, 4 F.M.C.2d 53, 94 (ALJ 2022)(Commission sets penalty based on the amount at the time of the offense). *See also, Sea-Land Service, Inc. – Possible Violations of the Shipping Act of 1984*, 29 S.R.R. 1109, 1181 (FMC 2003)(applying different penalty levels based on when alleged violation occurred).

In the *Hapag-Lloyd* case, the Bureau sought to apply the penalties in effect at the time of the decision rather than at the time of the conduct. Thus, the Bureau is either negligent in asserting

the same frivolous argument again or is deliberately ignoring the law in doing so.²³ Accordingly, if any penalty is to be assessed in this proceeding, it should be based on the amounts in effect at the time of the conduct in question.

Moreover, the Bureau's theory that the maximum statutory penalty for an ordinary violation of the Shipping Act serves as the minimum penalty for a knowing and willful violation is inconsistent with the plain language of the Shipping Act and is a novel theory devoid of legal support. The relevant portion of section 41107 of the Shipping Act provides:

Unless otherwise provided in this part, the amount of the penalty may not exceed \$5,000 for each violation or, if the violation was willfully and knowingly committed, \$25,000 for each violation.

Thus, the Shipping Act sets maximum amounts for each category of offense. It does not set the minimum for a knowing and willful violation at the level of an ordinary violation. Moreover, the *OJ Commerce* decision cited by the Bureau does not support such an interpretation of the Shipping Act. It merely states that enhanced – i.e., higher -- penalties are assessed for knowing and willful violations than for violations that are not knowing and willful. It does not suggest or support the proposition that the penalty for a knowing and willful violation must be higher than the maximum penalty for an ordinary violation. Indeed, the Commission has penalized knowing and willful violations at levels below the maximum applicable to ordinary violations. *See Stallion Cargo – Possible Violations of the Shipping Act of 1984*, 29 S.R.R. 665 (2001), *infra*.

2. The Bureau Improperly Seeks To Penalize the Same Conduct Twice

The Bureau is attempting to have its cake and eat it too when it seeks to penalize MSC for

²³ A brief submitted by a government attorney should not be “colored and one-sided”; that is a “standard” the courts “will not accept.” *NLRB v. Billen Shoe Co.*, 397 F.2d 801, 803 (1st Cir. 1968). Government attorneys are representatives of “a sovereignty whose obligation...is not that it shall win a case, but that justice shall be done.” *Freeport McMoRan Oil & Gas Co. v. F.E.R.C.*, 962 F.2d 45, 47 (D.C. Cir. 1992), quoting *Berger v. United States*, 295 U.S. 78, 88 (1935).

violations of both 46 U.S.C. §41102(c) and §40501 with respect to the NORs. First, it seeks to penalize MSC for not publishing specific charges for NORs (section 40501), then it seeks to penalize MSC for charging something other than what was published (section 41102(c)). However, the violations of both statutory provisions rely on the same conduct – charging the allegedly incorrect amount for NORs. Indeed, one could argue quite convincingly that the NOR charges are not covered by sections 41102(c) and/or 40501 but by section 41104(a)(2)(A), which prohibits common carriers from providing service in the liner trade that is not in accordance with rates, charges, classifications, rules and practices contained in a tariff. The Bureau and the Commission appear to be attempting to inflate the penalty artificially by alleging violations of two statutory provisions rather than a single, more directly applicable provision.

Even if MSC is determined to have violated sections 41102(c) and/or 40501, it should not be penalized twice for what is a single act – failing to publish and adhere to a specific charge for NORs. In this regard, in the past, the Commission has resisted efforts by the Bureau to impose multiple penalties on the same violation. For example, in *World Line Shipping, Inc. and Saeid B. Maralan (aka Sam Bustani) – Order to Show Cause*, the Bureau sought to impose civil penalties on the respondent for violating a cease and desist order. The ALJ refused to do so on the grounds that civil penalties had already been imposed on the underlying conduct. 29 S.R.R. 384, 393 (ALJ 2001). The Commission affirmed the ALJ on the grounds that imposing further penalties would be “overreaching” in light of the fact that penalties had already been imposed on the underlying conduct. 29 S.R.R. 808, 812 (FMC 2002).

3. The Bureau Improperly Relies On “Inferences” In An Effort To Penalize MSC For Additional Violations That Are Not Alleged In The Order Or Proven In Their Case

The Bureau urges the Presiding Officer to “infer” that MSC relied on its Merchant Clause more than the 18 times identified in the Order, to “infer” that errors in billing NORs were more

common than alleged in the Order and are continuing. Bureau Brief at 72, 74, 75, and 77. The Presiding Officer should decline to adopt these inferences.

As a legal matter, inferences in Commission proceedings are appropriate only where direct evidence is not available. *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC—Possible Violations of 46 U.S.C. § 41102(c)*, 4 F.M.C.2d 53, 75 (ALJ April 22, 2022), citing *Waterman Steamship Corp. v. General Foundries Inc.*, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993).²⁴ Here, the Bureau is not alleging that direct evidence is not available. The Bureau engaged in discovery in this proceeding. MSC produced over 7,000 pages of documents in response to the Bureau's requests and responded to numerous interrogatories and requests for admissions. Of note, the Bureau chose not to depose any witnesses. If direct evidence is unavailable, it is not due to any act or omission on the part of MSC. Absent a thorough and convincing explanation of the lack of direct evidence from the Bureau, no inferences adverse to MSC should be drawn here.

This is particularly true since the facts in the record, if they support any inference, support inferences in favor of MSC. For example, if any inference is to be drawn from the lack of evidence of use of the Merchant Clause beyond the 18 instances identified in the Order (many of which date from 2018) and which alleged conduct was the focus of an information collection drive by an intermediary organization, the inference should be that there is no additional evidence to be had.

Moreover, the Bureau is not urging the Presiding Officer to make inferences with respect to the alleged violations in this proceeding but to infer additional violations that are not alleged in the Order and are not the subject of any allegations or proof offered by the Bureau. Such inferences go beyond what is permissible in an administrative proceeding and would be tantamount to imposing a penalty on alleged violations with respect to which the Bureau has not met its burden

²⁴ See also cases cited in *Waterman*.

of proof.

4. The Proposed Penalty Is Disproportionate To The Amount At Issue

The Bureau's proposed penalty is disproportionate to the amount of the allegedly unlawful charges.

Here, the total of the 18 Merchant Clause invoices is slightly more than \$10,000. Some of these invoices were voided, making the amount actually received by MSC even smaller. RPF #12; MSC0001059-60 at BA MSC Production 309-10. The total amount allegedly overcharged with respect to NORs was \$2,059,584.37 (Order at ¶¶ 60 and 61), all of which has been refunded.²⁵ A penalty of \$63 million is out of proportion to the amounts herein at issue. In other words, MSC has realized little or no financial benefit from the conduct herein at issue.

The Bureau's focus on \$40 million in outstanding demurrage and detention charges (Bureau Brief at 68) is a figure referenced in an email from December of 2022 and which is not limited to charges payable on NORs or even relevant to the facts of this proceeding. Therefore, this figure is not related topically or temporally to the NOR issue. The amount of NOR charges that are at issue here have no relation whatsoever to the \$40 million figure cherry-picked by the Bureau in an unrelated email reference; this is just the Bureau deliberately distorting the facts to artificially inflate the amount at issue. Thus, the Bureau's contention that MSC reaped immense profits from the conduct herein at issue is baseless.

The lack of financial benefit to MSC is legally significant. Courts have held that when a civil penalty is designed for deterrence, the proper measure of gain to the defendant is net profits, not gross revenues. *R&W Technical Services v. CFTC*, 205 Fed 165, 178 (5th Cir. 2000). This weighs in favor of a lower penalty, should any penalty at all be imposed.

²⁵ RA0085-0088. Moreover, over \$1 million collected with respect to 925 shipments was refunded voluntarily prior to the commencement of this proceeding. Order at ¶ 60.

Moreover, the Commission uses the dollar amounts of the transaction as a factor in determining the reasonableness of a penalty. For example, in *Pacon Express, Inc., Luis R. Hallon and Sun Bong – Possible Violations of Sections 10(a)(1) and 19(d)(4) of the Shipping Act of 1984 and 46 C.F.R. 502.23(g) and (h)*, the ALJ measured the penalty by the amount of money the respondent unlawfully extracted due to its wrongdoing. 28 S.R.R. 352, 357 (ALJ 1998). *See also, Royval Venture Cruise Line, Inc. and Anastassius Kiriakidis – Possible Violations of Passenger Vessel Certification Requirements*, 27 S.R.R. 1069 (ALJ 1997)(penalty of \$110,000 imposed based on improper payments received by respondent, even though maximum penalty could have been \$267,200).

In this case, the lack of any financial benefit to MSC calls for imposition of a low penalty if any penalty at all is imposed.

5. The Fact That MSC Has Refunded The NOR Overcharges Is A Significant Mitigating Factor

The fact that MSC cancelled some of the Merchant Clause invoices, refunded a significant amount of the NOR charges in 2021 and has now refunded all of the NOR charges, is a significant mitigating factor for two reasons.

First, as noted above, these actions mean that MSC realized little or no financial gains as a result of the alleged conduct.

Second, in 2022, Congress granted the Commission authority to order refunds in addition to or alternatively to imposing penalties. See 46 U.S.C. §41109(a)(1)(B). In so doing, Congress recognized that the amount of any penalty should be reduced by the amount of any refund ordered by the Commission. 46 U.S.C. §41109(b)(2)(A). While this statutory provision is not applicable in this case for reasons discussed earlier in this brief, it nonetheless reflects an equitable, common-sense approach to the issue of the relationship between penalties and refunds and supports the view

that the voluntary issuance of refunds should be a mitigating factor in any subsequent penalty determination.

6. *The Merchant Clause Should Be Addressed Through Rulemaking*

It would be unlawful for the Commission to announce a broad, generally applicable requirement in this adjudicatory proceeding and to impose a fine based on the pronouncement.

Although the choice of whether to establish legal requirements via rulemaking or adjudication generally lies in the first instance within the Commission's discretion, *NLRB v. Bell Aerospace Co.*, 416 U.S. 267, 294 (1974), that discretion is not unlimited. The Supreme Court has held that the function of carrying out statutory directives should be performed, as much as possible, through the quasi-legislative promulgation of rules to be applied in the future. *SEC v. Chenery Corp.*, 332 U.S. 194, 202 (1947). Moreover, where broad, generally applicable requirements are established via adjudication, such action is subject to challenge as arbitrary and capricious.

For example, in *Patel v. Immigration and Naturalization Service*, 638 F.2d 1199 (9th Cir. 1980), the Court of Appeals overturned an INS ruling that applied criterion for a change in immigration status not found in the applicable regulation, but in an adjudicated decision issued after the regulation had been adopted. The Court of Appeals explained:

But, like all grants of discretion, "there may be situations where the (agency's) reliance on adjudication would amount to an abuse of discretion." *NLRB v. Bell Aerospace Co.*, *supra*, 416 U.S. at 294, 94 S. Ct. at 1771. Thus, we must determine whether the Board abused its discretion by choosing to announce the job-creation criterion in the adjudicatory setting of *Heitland*, rather than waiting for INS promulgation of the criterion in rulemaking, to the text of the note and by applying the job-creation criterion to Patel.

In *NLRB v. Wyman-Gordon Co.*, 394 U.S. 759, 89 S. Ct. 1426, 22 L. Ed. 2d 709 (1969), the Supreme Court invalidated a "rule" which the National Labor Relations Board (NLRB) created by adjudication. The rule was created in *Excelsior Underwear Inc.*, 156 N.L.R.B. 1236 (1966), in which the NLRB announced that all employers would thereafter be required to give employee names and addresses to any union seeking to win a representation election at the employer's business. In

Excelsior, the NLRB held a quasi-rulemaking hearing by inviting selected parties to participate in the adjudication as amicus curiae, and by stating that the new requirement would become effective 30 days from the date of the decision. *NLRB v. Wyman-Gordon Co.*, *supra*, 394 U.S. at 763, 89 S. Ct. at 1428. Although the lead opinion in *Wyman-Gordon* was not supported by a majority of the Court, the plurality found that the *Excelsior* decision was an impermissible circumvention of rulemaking procedures mandated by the Administrative Procedure Act (APA). See *NLRB v. Wyman-Gordon Co.*, *supra*, 394 U.S. at 762-66, 89 S. Ct. at 1427-1430 (plurality opinion), 775-80, 89 S. Ct. at 1434-1437 (Douglas, J., dissenting), 780-83, 89 S. Ct. at 1437-1439 (Harlan, J., dissenting). The plurality did not prohibit agencies from announcing principles by adjudication which may later govern agency actions as precedent. 394 U.S. at 765-66, 89 S. Ct. at 1429-1430. Rather, the Court forbade agencies from promulgating a "rule," which the APA defines as "an agency statement of general or particular applicability and future effect ...," 5 U.S.C. § 551(4), in an adjudicative proceeding.

638 F.2d at 1203. Given the widespread existence of similar clauses in the bills of lading of other carriers, a finding that MSC's application of the Merchant Clause violated the Shipping Act would constitute the establishment of a general rule of widespread applicability without the benefit of rulemaking procedures and would be subject to legal challenge under the precedent discussed above.

7. The Focus Should Be On The Total Penalty, Not the Number of Violations

The Commission has a history of focusing on the total penalty rather than the number of violations and the per-violation penalty. It should adhere to that history.

In *Kin Bridge Express Inc. – Possible Violations of Sections 8, 10(a)(1) and 23 of the Shipping Act of 1984*, 28 S.R.R. 984 (ALJ 1999), the ALJ found at least 1,504 violations. Using a statutory maximum per violation would have resulted in a penalty of more than \$37 million. This was not seriously considered. Instead, the ALJ assessed a total penalty of \$2,117,500.

Similarly, in *Stallion Cargo – Possible Violations of the Shipping Act of 1984*, 29 S.R.R. 665 (2001), the Commission found a total of 167 knowing and willful violations of the Shipping

Act but assessed a penalty of only \$1,340,000, which would amount to \$10,000 for each of 134 violation if the FMC had emphasized the value of each penalty. This is important for two reasons. First, it is consistent with the other cases cited above in that it focuses on the total penalty rather than the per-violation penalty. Second, it exposes as baseless the Bureau's argument that the minimum penalty for a knowing and willful violation must be higher than the maximum penalty for an ordinary violation. In fact, the per-violation penalty can be any amount up to the statutory maximum, including an amount below the maximum for a violation that is not knowing and willful.

In this regard, it should be noted that the FMC's announcements of compromise agreements only mention the total amount of the settlement and do not mention the number of violations or the penalty imposed per violation. See, BA at BEIC000300 through BEIC000305. This confirms that the total penalty provides the deterrent effect and is more important than the number of violations or the penalty per violation.

8. MSC Proposes A More Appropriate Penalty, Should Any Violations Be Found

MSC believes that no violation should be found with respect to the Merchant Clause. Should a violation be found, then, given the statute of limitations and lack of fair notice, at most a cease and desist order should be issued and no monetary penalty be assessed.

No violation should be found with respect to Section 40501 because there was a demurrage charge applicable to NORs published in the MSC tariff (the dry container demurrage charge). If a violation of Section 40501 is found, then due to the overlapping nature of the alleged Section 40501 and Section 41102(c) violations, a monetary penalty with respect to Section 40501 would be improperly duplicative and should not be assessed.

If any violation of Section 41102(c) is found with respect to the NORs, such violation

should be found to be an ordinary violation rather than a knowing and willful violation. Given the factors cited above, imposition of the 2021 maximum penalty for an ordinary violation would result in a penalty of \$32,502,327 (2,629 violations x \$12,363 per violation).²⁶ For all of the reasons set forth in this brief, such a penalty is grossly excessive.

MSC believes that if any penalty at all is assessed, it should be calculated using the approach taken in *Stallion Cargo*, with the focus on the total penalty rather than a pure mathematical calculation based on the number of violations and the statutory maximum. Given the factors discussed above, other recent settlements by the Commission, and the dual purposes of punishment and deterrence, MSC believes that, taking into consideration the refunds already issued to customers affected by NOR billing mistakes, a penalty of no greater than approximately \$2 million to \$3 million would be appropriate and legally defensible.

²⁶ The penalty for an ordinary violation during 2021 was \$12,363. Final Rule, FMC Docket No. 21-01 (January 15, 2021). Moreover, since MSC refunded overcharges on 925 shipment voluntarily prior to the commencement of this proceeding, it would be particularly inappropriate to impose any penalty with respect to those shipments.

VII. Conclusion

For the foregoing reasons, the Presiding Officer should find that there has been no violation of law with respect to the application of the Merchant Clause or, if such a violation is found, should assess no penalty for that violation. With respect to the NORs, the Presiding Officer should also find no violation or, if any violation is found, that such violation was not knowing and willful and should impose a penalty of no more than \$2 million to \$3 million.

Respectfully submitted,

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Dated: May 3, 2024

CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing was served upon the attorneys in the Office of Enforcement identified below by delivering the aforementioned document via email transmission this 3rd day of May, 2024.

/s/Wayne Rohde
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EXHIBIT A

REPLIES TO BIEC’S PROPOSED FINDINGS OF FACT

A. Proposed Findings with Respect to Background on MSC

BEIC PFF1. MSC is a vessel-operating common carrier (VOCC) as defined by 46 U.S.C. § 40102(7). Answer Resp’t MSC Mediterranean Shipping Co., S.A. (MSC Answer) at ¶1; Jt. Stip. Fact at ¶1, 2; see also Order of Investigation and Hearing, Docket No. 23-08, Mediterranean Shipping Company, S.A.—Possible Violations of the Shipping Act, 46 U.S.C. §§ 41102(c), 40501, and 41104(a)(2)(A) (OIH) at ¶1.

Response: Admitted.

BEIC PFF2. MSC is a common carrier that is privately owned and organized under the laws of Switzerland with its principal place of business at 12-14, Chemin Rieu, Geneva, Switzerland 1208. MSC Answer at ¶2; Jt. Stip. Fact at ¶3; see also OIH at ¶2.

Response: Admitted.

BEIC PFF3. MSC’s agent in the United States is Mediterranean Shipping Company (USA), Inc. with a principal place of business at 420 5th Avenue, 8th floor, New York, NY 10018-2702. MSC Answer at ¶3; Jt. Stip. Fact at ¶4; see also OIH at ¶3.

Response: Admitted.

BEIC PFF4. MSC is a global container shipping company with a large customer base in the U.S. shipping industry that has more than 800 vessels, on 300 routes, in 520 ports of call, in over 150 countries. MSC CARGO DIVISION, <https://www.msc.com/en/about-us/msc-group> (last visited Apr. 3, 2024); Tasova V.S. at ¶5–6.

Response: Denied as stated. The statement that MSC has more than 800 vessels is not supported by the provided citations as both MSC’s Cargo Division website (<https://www.msc.com/en/about-us/msc-group>) and the Verified Statement of Erin Tasova state that MSC has 800 vessels in its fleet. Denied that “MSC has a large customer base in the U.S. shipping industry” as the Bureau relies on the statement of E. Tasova (“It is my understanding, as a regulator and an observer of the U.S. Shipping Industry. . . with a large U.S. customer base. . .”), which is a subjective statement not grounded in objectively verifiable facts in the record. Tasova V.S. at ¶5–6.¹

BEIC PFF5. In 2021, MSC imported 17.2% of U.S. imports; in 2022, MSC imported

¹ Respondent notes that the Bureau did not serve a copy of Ms. Tasova’s Verified Statement on Respondent during discovery. As such, Respondent reviewed Ms. Tasova’s statement for the first time upon receipt of the Bureau’s Opening Brief.

18% of U.S. imports; and in 2023, MSC imported 14.8% of U.S. imports. OE Ex. 40 at BEIC 258; OE Ex. 41 at BEIC 264; OE Ex. 42 at BEIC 270; see also DESCARTES DATAMYNE, <https://www.datamyne.com/> (last visited Apr. 3, 2024).

Response: Admitted.

BEIC PFF6. In 2021, MSC exported 13.9% of U.S. exports; in 2022, MSC exported 14.2% of U.S. exports, and in 2023 MSC exported 15% of U.S. exports. OE Ex. 43 at BEIC 275; OE Ex. 44 at BEIC 281; OE Ex. 45 at BEIC 287; see also DESCARTES DATAMYNE, <https://www.datamyne.com/> (last visited Apr. 3, 2024).

Response: Admitted.

BEIC PFF7. MSC is estimated to be the largest shipping company in the world and a dominant presence in the U.S. market with estimated earnings to be at \$27 billion from June 2021–2022. Tasova V.S. at ¶6–7; see REPORT: MSC’S VALUE MAKES APONTES THE WEALTHIEST FAMILY IN SWITZERLAND, THE MARITIME EXECUTIVE, <https://maritime-executive.com/article/report-msc-s-value-makes-apontes-the-wealthiest-family-in-switzerland#:~:text=Report%3A%20MSC's%20Value%20Makes%20Apontes%20the%20Wealthiest%20Family%20in%20Switzerland,-SCA%20file%20image&text=Mediterranean%20Shipping%20Company%20is%20famously,with%20no%20shortage%20of%20billionaires,October%2017,%202022> (last visited Apr. 3, 2024); Lori Ann LaRocco, MSC, WORLD’S BIGGEST SHIPPING COMPANY AND U.S.-CHINA TRADE BELLWETHER, IS BETTING ON A REBOUND FOR GLOBAL ECONOMY, CNBC, <https://www.cnbc.com/2023/03/01/worlds-biggest-shipping-firm-isnt-talking-like-a-recession-is-coming.html#:~:text=State%20of%20Freight-,MSC%2C%20world's%20biggest%20shipping%20company%20and%20U.S.%2DChina%20trade%20bellwether,a%20rebound%20for%20global%20economy&text=MSC%2C%20the%20world's%20largest%20container,the%20second%20half%20of%202023,> March 1, 2023 (last visited Apr. 3, 2024).

Response: Denied as stated. Admitted to the extent that the article, which speaks for itself, indicates what the BEIC alleges.

BEIC PFF8. MSC has been a party to the Maersk/MSC Vessel Agreement, which is often referred to as the “2M Alliance,” since 2015. Resp’t MSC Mediterranean Shipping Company, SA’s Reply to the Office of Enforcement’s First Req. for Admis. (MSC Reply to OE 1st RFA) at ¶2.

Response: Denied that MSC's involvement in the "2M Alliance" is relevant to this proceeding. Admitted that MSC is a party to the Maersk/MSC Vessel Sharing Agreement .

BEIC PFF9. MSC is currently a party to the 2M Alliance. Id.

Response: Denied that MSC's involvement in the "2M Alliance" is relevant to this proceeding. Admitted that MSC is a party to the Maersk/MSC Vessel Sharing Agreement, which is often referred to as the 2M Alliance.

BEIC PFF10. The 2M Alliance will terminate in January 2025. Id.

Response: Denied that MSC's involvement in the "2M Alliance" is relevant to this proceeding. Admitted that the 2M Alliance is planned to terminate in January 2025.

BEIC PFF11.

MSC0000777
; see also
MSC0000773
, MSC0000774 [“(Do you think? Is that all? I mean, today the outstanding shows \$48M due for demurrage and detention.”)], MSC0000775.

Response: Denied as stated. The email referenced, which speaks for itself, does not prove the allegations raised by BEIC here. Admitted to the extent that the evidence cited includes the statements cited by BEIC here.

BEIC PFF12. MSC publishes its tariffs with Descartes Systems Group Inc. at <https://rates.descartes.com>. MSC Answer at ¶6; Jt. Stip. Fact at ¶5; see also OIH at ¶6.

Response: Admitted.

BEIC PFF13. On at least four occasions, between approximately 1989 and 2006, MSC was the subject of several enforcement actions that were resolved through the Commission's informal compromise procedures. See OE Exs. 48–51.

Response: Denied that this information is relevant to the proceeding. The evidence cited speaks for itself. Admitted to the extent that MSC and the Commission have previously reached compromise agreements.

BEIC PFF14. According to the Commission's 28th Annual Report for Fiscal Year 1989, MSC is reported to have paid a compromised civil penalty to the Commission in the amount of \$50,000. See OE Ex. 48 at BEIC 000299.

Response: Denied that this information is relevant to the proceeding. The document cited speaks for itself. Admitted to the extent that the document cited reports a compromise agreement between MSC and the Commission.

BEIC PFF15. In 1999, MSC executed a compromise agreement and paid a civil penalty in the amount of \$360,000 to resolve alleged violations of sections 10(b)(1), 10(b)(2), and 10(b)(4) of the Shipping Act. This compromise agreement and civil penalty are reflected in the Commission's press release NR 99-11, issued on May 6, 1999. See OE Ex. 49 at BEIC 000300–301.

Response: Denied that this information is relevant to the proceeding. The evidence cited speaks for itself. Admitted to the extent that the document shows MSC and the Commission reached a compromise agreement.

BEIC PFF16. In 2001, MSC executed a compromise agreement and paid a civil penalty in the amount of \$500,000 to resolve alleged violations of sections 10(b)(1) and 10(b)(2) of the Shipping Act. This compromise agreement and civil penalty are reflected in the Commission's press release NR 01-12, issued on November 29, 2001. See OE Ex. 50 at BEIC 000302–303.

Response: Denied that this information is relevant to the proceeding. The evidence cited speaks for itself. Admitted to the extent that the document shows MSC and the Commission reached a compromise agreement.

BEIC PFF17. In 2006, MSC executed a compromise agreement and paid a civil penalty in the amount of \$280,000 to resolve alleged violations of sections 10(b)(1) and 10(b)(2)(A) of the Shipping Act. This compromise agreement and civil penalty are reflected in the Commission's press release NR 06-06, issued on November 30, 2006. See OE Ex. 51 at BEIC 000304–305.

Response: Denied that this information is relevant to the proceeding. The evidence cited speaks for itself. Admitted to the extent that the document shows MSC and the Commission reached a compromise agreement.

B. Proposed Findings with Respect to MSC's Use of its Merchant Clause

BEIC PFF18. MSC's non-negotiable sea waybill defines the term "Merchant" to include "the Shipper, Consignee, holder of this Sea Waybill, the receiver of the Goods and any Person owing, entitled to or claiming the possession of the Goods or of this Sea Waybill or anyone acting on behalf of this Person." Jt. Stip. Fact at ¶7; OE Ex. 25 at BEIC 000099; MSC Answer at ¶7; see also OIH at ¶7.

Response: Admitted.

BEIC PFF19. MSC's bill of lading attempts to hold, "[e]very Person defined as 'Merchant' [] jointly and severally liable towards [MSC] for all the various undertakings, responsibilities, and liabilities of the Merchant under or in connection with this Bill of Lading and to pay the Freight due under it" OE Ex. 25 at BEIC 0000100.

Response: Denied as stated. MSC's bill of lading speaks for itself. Denied as to the characterization that the bill of lading "attempts" to hold Merchants jointly and severally liable. BEIC 0000100.

BEIC PFF20. MSC's bill of lading has not changed from January 2018 to present day. Jt. Stip. Fact at ¶6.

Response: Admitted.

BEIC PFF21. MSC's tariff makes the Merchant responsible for payment of demurrage, detention, and per diem. *Id.* at ¶11.

Response: Admitted.

BEIC PFF22.

[REDACTED]
[REDACTED] MSC0002700 (emphasis in original).

Response: Denied as stated. The referenced billing procedures, which speak for themselves, include additional explanatory content excluded by BEIC here such as the fact that BEIC refers to what are specifically Rail Detention Billing procedures that span multiple pages. MSC0002699-MSC0002705 Admitted to the extent that the document cited by BEIC includes a portion the quoted language. See MSC0002700.

BEIC PFF23.

But [REDACTED] MSC0002700; see generally MSC0002699-0002705.

Response: Denied. The quoted sentence [REDACTED] does not appear in MSC's Rail Detention Billing Policy. MSC0002700; MSC0002699-0002705. Further denied because MSC's Rail Detention Billing Policy is not MSC's only procedure relating to billing (see e.g., MSC0000033). MSC's billing procedure clarifies that [REDACTED] *Id.* Therefore it is incorrect to rely solely on the Rail Detention Billing Policy when stating that MSC's policies do not specify who the invoice party is or how to find the invoice party.

BEIC PFF24.

Elsewhere, MSC has [REDACTED]

[REDACTED] MSC0000033.

Response: Admitted.

BEIC PFF25.

The [REDACTED]

Id.

Response: Admitted.

BEIC PFF26.

The [REDACTED]

Id.

Response: Admitted.

BEIC PFF27.

The [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Id. (emphasis added).

Response: Admitted.

BEIC PFF28.

MSC uses the term, “invoice party” interchangeably with the notify party of a bill of lading. MSC0003975; MSC0001033.

Response: Denied. The characterization that MSC used the terms “invoicing party” and “notify party” interchangeably is incorrect as shown by the documents that are cited to in support of that contention. MSC0001033 states that “in general, we have been running into many issues where the notify party on the BL is also the invoice company who will

be billed for rail detention . . .”, which shows that there were shipments on which the invoicing party and notify party were the same party, not that the term was used interchangeably. MSC0003975; MSC0001033.

BEIC PFF29. In practice, it is MSC’s policy to invoice the notify party. See MSC0002953 (“Our policy is to always bill the Notify party since they are who we send arrival notices to (kind of like perdiem gets billed to the trucker since they pull the box.)”); MSC0003975 (“Per policy we can only invoice the ‘invoice company’ listed on the bill of lading. In this case, it is Welke.”); MSC0002697 (“Invoice company is autoset based on whom the invoice company is on the bill of lading for the ocean freight.”); MSC0004574 (“We invoice these to the invoice company because a lot of times when we invoice to the [consignee], or another party, they don’t pay then our freight cashier team has to try and collect these. So by procedure, we are forced to send these invoices to the invoice company listed on the [bill of lading].”).

Response: Denied as stated. The referenced documents, which speak for themselves, include additional explanatory content excluded by BEIC here, including that MSC’s policy is to invoice the notify party only in limited circumstances. MSC0000033. Admitted to the extent that the statements are correctly quoted. MSC0002953; MSC0003975; MSC0002697; MSC0004574.

BEIC PFF30. In consideration of this practice, an MSC employee wrote:

When Notify is different than consignee some clients refuse to pay so we bill [consignee] directly at time of Billing
This can be a lot of manual work and not realistic to review all invoices/clients in this way.

In general, we have been running into many issues where the notify party on the [bill of lading] is also the invoice company who will be billed for rail detention and those Notify parties are claiming they do not have responsibility for those charges as they are not the [consignee]. At that point due to age of invoices we have trouble to rebill those charges to [consignee] without their acceptance to pay....We do think this is something that needs to be looked at more in depth in terms of who is the party we need to be billing from legal standpoint but also if there is any way to make these changes without large changes from how [port of loading] is manifesting [bills of lading] invoice [companies].

MSC0001032 (emphasis added).

Response: Denied as stated. Admitted to the extent that the email, which speaks for itself,

includes the quoted language. MSC0001032. Denied as to the characterization that MSC employee's statement that "[w]e do think this is something that needs to be looked at more in depth in terms of who is the party we need to be billing from legal standpoint but also if there is any way to make these changes without large changes from how [port of loading] is manifesting [bills of lading] invoice [companies]" represents MSC's legal position on billing the notify party. MSC0001032.

BEIC PFF31. MSC's policy is to require written confirmation any time the party receiving an invoice is changed. MSC Answer at ¶15; see also OIH at ¶15.

Response: Admitted.

BEIC PFF32. MSC's policy is not to remove charges from any account until the new recipient of the invoices has confirmed that it agrees to be billed for those charges. MSC Answer at ¶16; see also OIH at ¶16.

Response: Admitted.

BEIC PFF33. MSC's policy regarding non-payment of invoices is that:

If a detention and/or demurrage invoice is not paid by a customer, a reminder is issued to the customer ten days following the guarantee date. If necessary, an additional reminder is sent to the customer five days later. Two weeks after the second reminder is sent, if the invoice remains unpaid, the matter is sent to a third-party collection agency. Thereafter, a customer may be denied future service due to non-payment of invoices.

If a per diem invoice is not paid, MSC's policy varies depending on whether the motor carrier remains in business, the amount of the invoice, and whether the motor carrier has been shut out under the UIIA. If the motor carrier has been shut out from the UIIA for more than 60 days, is in business, and has accrued charges in excess of \$250, the matter would be sent to a third-party collection agency.

MSC Mediterranean Shipping Company, S.A.'s Resp. Office of Enforcement's Third Interrogs. at ¶40.

Response: Admitted.

BEIC PFF34.

However,

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

MSC000004.

Response: Denied as stated. The referenced document, which speaks for itself, includes additional explanatory content excluded by BEIC here. The policy was also explained in response to BEIC's interrogatories. See MSC Response to BEIC Interrogatory #40, BA Discovery Materials at 030. Admitted to the extent that the language is accurately quoted. MSC000004.

1. Proposed findings with respect to notify party V. Alexander & Co., Inc.

BEIC PFF35. V. Alexander & Co., Inc. (V. Alexander) is a licensed and bonded Ocean Freight Forwarder, FMC Org. No. 005312. MSC Answer at ¶17; see also OIH at ¶17.

Response: Admitted.

BEIC PFF36. V. Alexander provides customs services and is a trade consultant. Tasova V.S. at ¶10.

Response: Denied. The evidence cited by BEIC here does not prove what BEIC alleges. Moreover, V. Alexander would be best-positioned to opine on the services that it provides.

BEIC PFF37. V. Alexander was the notify party in the corresponding bills of lading found in Attachment A of the OIH. Jt. Stip. Fact at ¶13.

Response: Admitted.

BEIC PFF38. V. Alexander was neither the shipper nor the consignee in the corresponding bills of lading found in Attachment A of the OIH. Id. at ¶14.

Response: Admitted.

BEIC PFF39. MSC Invoice No. 190000057911R is a \$660 detention charge to V.

Alexander referencing MSC bill of lading No. MSCUJX768383. OE Ex. 1 at BEIC 000003.

Response: Admitted.

BEIC PFF40. MSC Invoice No. 190000057911R is dated February 12, 2018. OE Ex. 1 at BEIC 000003.

Response: Admitted.

BEIC PFF41. MSC Invoice No. 190000058539R is a \$165 detention charge to V. Alexander referencing MSC bill of lading No. MSCUJX768383. OE Ex. 1 at BEIC 000004.

Response: Admitted.

BEIC PFF42. MSC Invoice No. 190000058539R is dated February 12, 2018. OE Ex. 1 at BEIC 000004.

Response: Admitted.

BEIC PFF43. MSC Invoice No. 190000058338R is a \$1,215 detention charge to V. Alexander referencing MSC bill of lading No. MSCUJX764689. OE Ex. 2 at BEIC 000007.

Response: Admitted.

BEIC PFF44. MSC Invoice No. 190000058338R is dated February 12, 2018. OE Ex. 2 at BEIC 000007.

Response: Admitted.

BEIC PFF45. MSC Invoice No. 190000060568R is a \$165 detention charge to V. Alexander referencing MSC bill of lading No. MSCUJX802356. OE Ex. 3 at BEIC000010.

Response: Admitted.

BEIC PFF46. MSC Invoice No. 190000060568R is dated April 11, 2018. OE Ex. 3 at BEIC000010.

Response: Admitted.

BEIC PFF47. MSC Invoice No. 190000061236R is a \$165 detention charge to V. Alexander referencing MSC bill of lading No. MSCUJX809211. OE Ex. 4 at BEIC000013.

Response: Admitted.

BEIC PFF48. MSC Invoice No. 190000061236R is dated May 2, 2018. OE Ex. 4 at BEIC000013.

Response: Admitted.

BEIC PFF49. MSC Invoice No. 190000067404R is a \$165 detention charge to V. Alexander referencing MSC bill of lading No. MSCUJX963315. OE Ex. 5 at BEIC000015.

Response: Admitted.

BEIC PFF50. MSC Invoice No. 190000067404R is dated August 16, 2018. OE Ex. 5 at BEIC000015.

Response: Admitted.

BEIC PFF51. MSC Invoice No. 190000067405R is a \$165 detention charge to V. Alexander referencing MSC bill of lading No. MSCUJX962887. OE Ex. 6 at BEIC000017.

Response: Admitted.

BEIC PFF52. MSC Invoice No. 190000067405R is dated August 16, 2018. OE Ex. 6 at BEIC000017.

Response: Admitted.

BEIC PFF53. MSC Invoice No. 190000071814R is a \$495 detention charge to V. Alexander referencing MSC bill of lading No. MEDUJP120135. OE Ex. 7 at BEIC000020.

Response: Admitted.

BEIC PFF54. MSC Invoice No. 190000071814R is dated December 6, 2018. OE Ex. 7 at BEIC000020.

Response: Admitted.

BEIC PFF55. On March 10, 2021, MSC sent V. Alexander an e-mail requesting payment of outstanding charges in the amount of \$6,544.40. OE Ex. 8 at BEIC 000028; see also MSC Answer at ¶22 (admitting that, “From March 2021 through July 2021, MSC billed and attempted to collect from V. Alexander detention ”).

Response: Admitted.

BEIC PFF56. On March 11, 2021, V. Alexander responded to MSC’s request for payment and listed invoice numbers that “should be billed direct to the consignee.” OE Ex. 8 at BEIC 000027 (including the aforementioned Invoice Nos.: 190000057911R; 190000058539R; 190000058338R;

190000060568R; 190000061236R; 190000067404R; 190000067405R;
and 190000071814R (hereinafter “MSC Invoices to V. Alexander”).

Response: Denied as stated. The email referenced speaks for itself, and does not prove that the invoices were improperly billed to V. Alexander. Admitted to the extent that the email includes the quoted language. BEIC 000027.

BEIC PFF57. V. Alexander requested MSC “rebill to the correct party and confirm when complete.” Id.

Response: Admitted.

BEIC PFF58. On March 12, 2021, MSC responded to V. Alexander:

Please note we bill to notify party as you are the on [sic] being notified of arrival. If cnee [sic] is to pay we need their confirmation in writing that they accept these invoices. Until we receive their written acceptance we would not be able to remove [sic] from your account.

Id. at BEIC 000026.

Response: Admitted.

BEIC PFF59. On the same day, V. Alexander responded to MSC:

We are neither the shipper or consignee on the BOL and only handle the clearance for these accounts. The charges should go directly to them and I have included our lawyer if you have further questions or continue to persist these charges belong on our account.

Id. at BEIC 000025.

Response: Admitted.

BEIC PFF60. The attorney representing V. Alexander then responded to MSC:

Mr. Ristau, the Notify Party is not a merchant on the bill of lading: it is not a party to the contract of affreightment. The request of MSC that V. Alexander be shown as Notify Party was not made by the latter, which had no part in the formation of your contract with the merchant(s). As a result, it has no obligation to pay for any services performed under the contract between you and your

merchant customers. If you really would like to collect your money, you should direct your bills to someone who owes you the sums.

Id. at BEIC 000024–25.

Response: Denied as stated. The email referenced, which speaks for itself, does not make clear who Mr. Mooney is except to the extent that he appears to respond on behalf of V. Alexander and signs as “Esq.” Admitted to the extent that the email includes the quoted language. BEIC 000024–25.

BEIC PFF61. On April 6, 2021, MSC requested an update from V. Alexander about when payment would be processed. OE Ex. 8 at BEIC 000023; see also MSC Answer at ¶22 (admitting that, “From March 2021 through July 2021, MSC billed and attempted to collect from V. Alexander detention . . .”).

Response: Denied as stated. The email thread, which speaks for itself, includes additional explanatory content excluded by BEIC here, including an additional email request to V. Alexander which received no response. Admitted to the extent that the email includes the quoted language. BEIC000024; BEIC 000023.

BEIC PFF62. On April 27, 2021, MSC emailed the consignee in MSC bills of lading Nos.: MSCUJX768383; MSCUJX768383; MSCUJX764689; MSCUJX802356; MSCUJX809211; MSCUJX963315; MSCUJX962887; and MEDUJP120135 (hereinafter “Consignee Company A”) about the MSC Invoices to V. Alexander. OE Ex. 9 at BEIC 000033.

Response: Admitted.

BEIC PFF63. On May 4, 2021, Consignee Company A asked MSC to provide invoice copies. Id.

Response: Admitted.

BEIC PFF64. On the same day, MSC provided the invoices and asked Consignee Company A to “confirm if [they] will pay attached invoices or if [they] will need them reinvoyed directly to [the V. Alexander Consignee] to be paid.” Id. at BEIC 000032.

Response: Denied as stated. The email, which speaks for itself, includes additional explanatory content excluded by BEIC here, including the invoices themselves. Admitted to the extent that the email includes the quoted language. BEIC 000032.

BEIC PFF65. On May 19, 2021, MSC sent V. Alexander an e-mail requesting payment of outstanding charges in the amount of \$30,559.40. OE Ex. 8 at BEIC 000022.

Response: Denied as stated. The email thread, which speaks for itself, includes additional explanatory content excluded by BEIC here. Moreover, this email chain is distinct from the PFFs preceding and should be reviewed in its full context. This email provided a statement of account, which included a request for payment. BEIC 000022.

BEIC PFF66. On May 20, 2021, MSC asked Consignee Company A to confirm if [they] will pay the invoices. OE Ex. 9 at BEIC 000032.

Response: Denied as stated. The email thread, which speaks for itself, includes additional explanatory content excluded by BEIC here. This email includes a request that Consignee A either confirm payment or request that MSC reinvoice the invoices directly to Consignee A. BEIC 000032.

BEIC PFF67. That same day, V. Alexander asked for help from another MSC employee—a District Sales Manager. MSC0002954–55.

Response: Denied as stated. The email, which speaks for itself, does not ask for help from any MSC employees but rather gives an overview of Consignee A's recent communications with MSC. MSC0002954–55.

BEIC PFF68. The District Sales Manager routed the question to another MSC employee—an Inside Sales Manager, describing to them that:

The rail detention invoices are being sent to V Alexander who is the notify party but these shipped under [Consignee Company A] so these should be for [Consignee Company A's] account. Invoices are attached and then the reply from Robert stating that [Consignee Company A] has to agree to pay the charges before they can rebill them. But V Alexander should have never been billed in the first place.

MSC0002953 (emphasis added).

Response: Denied as stated. The email, which speaks for itself, includes additional explanatory content excluded by BEIC here. Admitted to the extent that the email includes the quoted language. Denied as to the characterization that the District Sales Manager's personal opinion is a factual statement as to which party should or should not have been billed. MSC0002953.

BEIC PFF69. On May 21, 2021, the Inside Sales Manager responded that, “[MSC’s] policy is to always bill the Notify party since they are who we send arrival notices to (kind of like per diem gets billed to the trucker since they pull the box).” MSC0002953.

Response: Denied as stated. The email, which speaks for itself, includes additional explanatory content excluded by BEIC here. Denied as to the characterization that the Inside Sales Manager's statement correctly explains MSC's policy. Admitted to the extent

that the email includes the quoted language. MSC0002953.

BEIC PFF70. On May 21, 2021, the Consignee Company A responded that the e-mail had been referred to another employee and that they would contact MSC with more information as soon as possible. OE Ex. 9 at BEIC 000031.

Response: Admitted.

BEIC PFF71. On June 2nd and 22nd of 2021, MSC asked Consignee Company A for an update. Id. at BEIC 000030.

Response: Admitted.

BEIC PFF72. On July 14, 2021, V. Alexander requested its statement from MSC. OE Ex. 10 at BEIC 000038.

Response: Admitted.

BEIC PFF73. On July 15, 2021, MSC provided the statement to V. Alexander. Id.; see also MSC Answer at ¶22 (admitting that, “From March 2021 through July 2021, MSC billed and attempted to collect from V. Alexander detention ”).

Response: Admitted.

BEIC PFF74. On the same day, V. Alexander responded to MSC, “[l]ooks like we still have the issue with invoices billed to V. Alexander that should have gone to the consignee. Per legal, we are not responsible for these charges”. OE Ex. 10 at BEIC 000037.

Response: Denied as stated. The email, which speaks for itself, includes additional explanatory content excluded by BEIC here, including that V. Alexander would secure approval for some invoices and pay those invoices. Admitted to the extent that the email includes the quoted language. BEIC000037.

BEIC PFF75. On July 19, 2021, MSC responded to V. Alexander, “I can’t remove those from your account until [Consignee Company A] confirms they will pay them.” Id.

Response: Denied as stated. The email, which speaks for itself, includes additional explanatory content excluded by BEIC here, including that that MSC could not reach the contacts provided by V. Alexander for Consignee Company A. Admitted to the extent that the email includes the quoted language by an MSC employee. BEIC000037.

BEIC PFF76. Also on July 19, 2021, MSC asked Consignee Company A to confirm if MSC could reinvoice the invoices to Consignee Company A. MSC0001062, OE Ex. 9 at BEIC 000030; see also OE Ex. 10 at BEIC 000035 (MSC relaying to V. Alexander that they re-sent the invoices to Consignee Company A for confirmation.).

Response: Denied as stated. These emails, which speak for themselves, include additional explanatory content excluded by BEIC here, including that V. Alexander did not provide responsive contacts at Consignee Company A. MSC0001062, OE Ex. 9 at BEIC 000030; see also OE Ex. 10 at BEIC 000035

BEIC PFF77. On the same day, V. Alexander responded to MSC, “I am not understanding why you can’t remove them from our account when they never should have been billed to us in the first place. Why would V. Alexander be responsible for these items ever?” OE Ex. 10 at BEIC 000036.

Response: Admitted.

BEIC PFF78. MSC responded to V. Alexander, “You are the 1st notify party on the shipment. That is who we bill for rail detention charges.” Id.

Response: Denied as stated. The email, which speaks for itself, was sent by an MSC employee and does not reflect the position of MSC as stated. MSC’s policy was to bill notify parties in limited circumstances only. MSC0000033. Admitted to the extent that the email includes the quoted language.

BEIC PFF79. V. Alexander responded to MSC:

As a disclosed principal, V. Alexander is not a party to nor bound by MSC’s bill of lading contracts with the actual merchant and never consented to be. Therefore, V. Alexander is not responsible for these charges. Per Federal Law, MSC will need to bill the Merchant for these charges and stop harassing V. Alexander.

Id.

Response: Denied as stated. The email, which speaks for itself, includes additional context not repeated here. Denied that V. Alexander’s attorney’s interpretation of the law is correct. Admitted to the extent that the email includes the quoted language.

BEIC PFF80. MSC responded to V. Alexander, “I can only remove once I have the acceptance form [sic] [Consignee Company A] for these invoices. I have resent [sic] to them today. Once I have their confirmation they will be removed.” Id. at BEIC 000035.

Response: Denied as stated. The email, which speaks for itself, includes additional context not repeated here, including that MSC may not have received sufficient contact details from V. Alexander for Consignee Company A. Admitted to the extent that the email includes the quoted language.

BEIC PFF81. V. Alexander responded to MSC:

Please understand, V. Alexander, by law, is not responsible for these charges, we have not accepted responsibility for these charges, and we will not pay these charges. If MSC chooses to leave these on our account until an actual party to the transaction agrees to accept them, that is your poor accounting practice and we will continue to dispute and advise that these need to be removed from our statement in order for MSC to rectify their violation of GAAP rules and federal law.

Id.

Response: Denied as stated. The email, which speaks for itself, includes additional context not repeated here. Denied that V. Alexander's attorney's interpretation of the law is correct. Admitted to the extent that the quoted language appears in the referenced email. BEIC 000035.

BEIC PFF82. Finally, MSC responded to V. Alexander, "[t]hese will remain until we have resolution. Please clear the rest of the outstanding [sic] your dispute is already noted on these invoices." OE Ex. 10 at BEIC 000035; see also MSC Answer at ¶27.

Response: Denied as stated. The email, which speaks for itself, includes additional context not repeated here, including the lack of sufficient contact information for Consignee Company A. Admitted to the extent that the email includes the quoted language by an MSC employee.

BEIC PFF83. On July 20, 2021, Consignee Company A internally escalated the MSC Invoices to V. Alexander re invoicing issue and MSC asked to confirm re invoicing the MSC Invoices to V. Alexander to Consignee Company A. MSC0001061-62.

Response: Admit that on July 20, 2021 Consignee A sent an email to V. Alexander requesting further information on rail detention invoices..

BEIC PFF84. On July 22, 2021, Consignee Company A responded to MSC:

Again, these invoices are from 2018. [Consignee Company A] requires that invoices are received within 45 days of occurrence or they are voided and this is stated in our contract.

These invoices will need to be settled by MSC.

I have added our account rep [], as she is familiar with our

contract.

MSC 0001061.

Response: Denied as stated. The email, which speaks for itself, includes additional context not repeated here, including unsuccessful efforts to secure resolution by Consignee Company A. MSC0001061-67. Admitted to the extent that the email includes the quoted language.

BEIC PFF85. MSC internally escalated the issue, writing:

I have these 8 invoices currently billed to 1st notify V Alexander from 2018 but they are refusing to pay and are "threatening" legal action if not removed. I have reached out for acceptance to cnee but they have refused to accept per attached that they were not billed within 45 days per contract. Can you confirm how I we can proceed? Or if these should be move to uncollectible?

MSC0001059–60.

Response: Denied as stated. Denied as to the characterization that MSC’s internal communications were an internal “escalation” of the issue. Admitted to the extent that the quoted language appears in the email. MSC0001059–60.

BEIC PFF86. In response, MSC wrote, “Please cancel the invoices.” MSC 0001059.

Response: Admitted.

BEIC PFF87. After July 19, 2021, V. Alexander stated that they had just noticed that the rail detention charges were dropped in the next billing statement from MSC. Tasova V.S at ¶14.

Response: Denied as stated. Admitted that Ms. Tasova’s statement alleges that “V. Alexander also explained that following their last email with MSC on July 19, 2021, V. Alexander noticed that the charges were dropped in the next billing statement from MSC. V. Alexander received no follow-up from MSC or the original consignee about the matter,” but does not provide any evidence to support this statement.

2. Proposed findings with respect to notify party John S. Connor, Inc.

BEIC PFF88. John S. Connor, Inc. (J. Connor) is a licensed, tariffed, and bonded non-vessel operating common carrier and ocean freight forwarder, FMC Org. No. 00674. MSC Answer at ¶29.

Response: Admitted.

BEIC PFF89. J. Connor provides customs brokerage and compliance services. Tasova V.S. at ¶17.

Response: Denied. The evidence cited by BEIC here does not prove what BEIC alleges. Moreover, J. Connor would be best-positioned to opine on the services that it provides.

BEIC PFF90. J. Connor was the notify party in the corresponding bills of lading found in Attachment A of the OIH. Jt. Stip. Fact at ¶13.

Response: Admitted.

BEIC PFF91. J. Connor was neither the shipper nor the consignee in the corresponding bills of lading found in Attachment A of the OIH. Id. at ¶14.

Response: Admitted.

BEIC PFF92. MSC Invoice No. 100000098316R is a \$330 detention charge to J. Connor referencing MSC bill of lading No. MEDUL8508615. OE Ex. 11 at BEIC 000041.

Response: Admitted.

BEIC PFF93. MSC Invoice No. 100000098316R is dated October 2, 2020. OE Ex. Id.

Response: Admitted.

BEIC PFF94. MSC Invoice No. 100000098319R is a \$660 detention charge to J. Connor referencing MSC bill of lading No. MEDUL8510991. OE Ex. 12 at BEIC 000047.

Response: Admitted.

BEIC PFF95. MSC Invoice No. 100000098319R is dated October 2, 2020. OE Ex. Id.

Response: Admitted.

BEIC PFF96. MSC Invoice No. 100000098317R is a \$330 detention charge to J. Connor referencing MSC bill of lading No. MEDUL8499021. OE Ex. 13 at 000053.

Response: Admitted.

BEIC PFF97. MSC Invoice No. 100000098317R is dated October 2, 2020. Id.

Response: Admitted.

BEIC PFF98. MSC Invoice No. 100000098318R is a \$660 detention charge to J. Connor referencing MSC bill of lading No. MEDUL8510827. OE Ex. 14 at 000059.

Response: Admitted.

BEIC PFF99. MSC Invoice No. 100000098318R is dated October 2, 2020. Id.

Response: Admitted.

BEIC PFF100. MSC Invoice No. 100000101476R is a \$330 detention charge to J. Connor referencing MSC bill of lading No. MEDUL8510827. OE Ex. 15 at BEIC 000066.

Response: Admitted.

BEIC PFF101. MSC Invoice No. 100000101476R is dated November 12, 2020. Id.

Response: Admitted.

BEIC PFF102. On April 20, 2021, MSC sent J. Connor an email requesting payment of outstanding charges in the amount of \$32,125. MSC0001048.

Response: Denied as stated. MSC's email speaks for itself, and requests a response from J. Connor on the outstanding invoices, asking J. Connor to review and advise on when payment could be expected. MSC0001048.

BEIC PFF103. On April 29, 2021, Invoice Nos.: 100000098316R; 100000098319R; 100000098317R; and 100000098318R were paid. MSC0001035.

Response: Admitted.

BEIC PFF104. On May 14, 2021, in an email regarding MSC Invoice Nos.: 100000098316R; 100000098319R; 100000098317R; 100000098318R; and 100000101476R (hereinafter "MSC Invoices to J. Connor"), J. Connor provided:

Ocean carrier will bill us the container detention charges because we are a Notify on the B/L. We are the Notify Party only for the sole purpose of receiving arrival info to clear Customs. We don't move the freight. We don't organize the delivery. Thus, we have zero control over the incurring of detention, but they threaten our freight account if we don't pay, and we have to waste resources essentially being their collection agency or we take the hit.

OE Ex. 16 at BEIC 000071; see also MSC Answer at ¶37–38.

Response: Denied as stated. The email, which speaks for itself, does not make clear that the “example” described by Mr. Connor is a scenario specific to MSC as it references “other culprits” and simply appears to describe an example of a “Merchant Charge” as noted in the subject line. BEIC000071. Admitted to the extent that the email includes the quoted language and appears to attach MSC invoices. *Id.*

BEIC PFF105. On May 25, 2021, Invoice No. 100000101476R was paid. MSC0001035.

Response: Admitted.

3. Proposed findings with respect to notify party Welke Customs Brokers USA, Inc.

BEIC PFF106. Welke Customs Brokers USA, Inc. (Welke) is a licensed customs brokerage firm that provides customs clearance, consulting, and cargo insurance services. Tasova V.S. at ¶22.

Response: Denied. The evidence cited by BEIC here does not prove what BEIC alleges here. Moreover, Welke would be best-positioned to opine on the services that it provides.

BEIC PFF107. On March 11, 2020, MSC sent Welke an e-mail requesting payment of outstanding charges in the amount of \$9,269. MSC0004831.

Response: Admitted.

BEIC PFF108. On the same day, Welke emailed the shipper of the containers (hereinafter “Shipper C”), and asked them to “contact MSC Argentina and arrange payment.” *Id.*

Response: Admitted.

BEIC PFF109. Shipper C responded that they had paid those expenses. MSC0004830.

Response: Denied as stated. The email, which speaks for itself, indicates that “[t]hese expenses should be reflected in [Shipper C’s] account” but that Shipper C would “consult MSC Argentina” and provide an additional answer. MSC0004830.

BEIC PFF110. On March 25, 2020, Welke emailed MSC:

Good morning,

Welke has an agreement with [Shipper C] to secure the release of the import cargo from Customs custody and provide MSC Port Everglades proof of [Customs and Border Protection] clearance and delivery order to the consignee of the containers. Once we issue those documents, we have completed our services. We are not responsible for coordinating the pick up by a domestic carrier of the containers for delivery since the ocean [bill of

lading] terms of service included delivery to the consignee door.

We have advised MSC on more than one occasion that Welke is not responsible for charges that are associated with driver waiting time or any other costs associated with the delivery of containers to the consignee location. We have no beneficial interest the [sic] cargo nor are we a party to the shipping terms of the bill of lading.

Please refer to emails below regarding these charges where [Shipper C] agreed to remit payment to MSC in Argentina. Please remove these charges from our account . . . and address this matter with your office in Buenos Aires.

Again, Welke has no obligation to pay these charges.

MSC0004829.

Response: Denied as stated. Admitted to the extent that the email, which speaks for itself, includes the quoted language. MSC0004829. Denied that Welke had no beneficial interest in Shipper C's cargo. Welke's agreement with Shipper C, its own Terms and Conditions, show that

RA0066-67.

BEIC PFF111. Welke added, "[a]s an additional point, Welke did not request MSC establish an account or provide extended payment terms. This appears to be an arbitrary action on the part of MSC to create an accounts receivable for balance sheet and payment purposes." Id.

Response: Denied as stated. Welke paid MSC for charges on behalf of its clients regularly. See RA0024 (disputing an additional charge as different than what Welke would "normally pay"). Admitted that the quoted language appears in the email.

BEIC PFF112. On March 26, 2020, at 2:53 PM, MSC internally routed Welke's message and added, "per our customer Welke is not responsibility [sic] for this outstanding; so we need your help to see who authorized those charges that were added in those [original bills of lading]." MSC0004577.

Response: Denied as stated. The email, which speaks for itself, is misquoted here. Furthermore, the internal circulation of emails by MSC does not include Welke's statement in BEIC PFF111. Admitted to the extent that the email includes most of the quoted language. MSC0004577.

BEIC PFF113. At 3:57 PM, MSC further discussed the issue and asked a coworker to “advise who [would] satisfy the below outstanding charges on [the] account.” *Id.*

Response: Denied as stated. The email, which speaks for itself, requires context that is not sufficiently described as “the issue” and which the BEIC does not address in this PFF. Admitted to the extent that the email includes the quoted language. MSC0004577.

BEIC PFF114. On March 27, 2020, at 10:16 AM, the MSC coworker responded:

First of all these costs should be invoiced to [Shipper C instead of] Welke. But could you clarify what costs refer to? Is [sic] about demurrage/detention or trucking waiting time? Could you re-send me the each invoice [sic]? Also [please] clarify is costs has been paid or just invoiced.. [sic] But first I would like to check when costs appears and who took the decision to invoiced [sic] to Welke Take in account for some [bills of lading] shipper paid [detention/demurrage] locally ”

MSC0004576.

Response: Denied as stated. The email, which speaks for itself, includes additional explanatory content excluded by BEIC here, including additional comments on specific bills of lading. MSC0004576. Admitted to the extent that the email includes the quoted language. *Id.*

BEIC PFF115. At 10:44 AM, MSC responded, “[t]hese were invoice [sic] to the invoice company on the [bill of lading].” MSC0004575.

Response: Admitted to the extent that the email includes the quoted language. Denied that the full content of the email is restated here. MSC0004575.

BEIC PFF116. Then at 2:48 PM, another MSC employee clarified that:
[MSC] invoice[s] these to the invoice company because a lot of times when we invoice to the [consignee], or another party, they don’t pay then our freight cashier team has to try and collect these. So by procedure, we are forced to send these invoices to the invoice company listed on the [bill of lading]. Hope these clears up why we always send them to the invoice company.

MSC0004574.

Response: Denied as stated. The email, which speaks for itself, includes additional explanatory content excluded by BEIC here, including that the response is directed at

specific invoices which satisfy certain conditions and does not necessarily reflect a policy clarification as suggested. Moreover, BEIC attempts to attribute the statement to “MSC” as a whole rather than “[w]e” which was stated in the email and which could refer to a particular group or team but which is, at best, unclear from the email. MSC0004574. Moreover, the “MSC employee” does not speak for MSC as a whole.

BEIC PFF117. On April 8, 2020, MSC sent Welke an e-mail requesting payment of outstanding charges in the amount of \$675. MSC0004290.

Response: Admitted.

BEIC PFF118. On April 22, 2020, MSC sent Welke an e-mail requesting payment of outstanding charges in the amount of \$675. MSC0004285.

Response: Admitted.

BEIC PFF119. On May 6, 2020, MSC sent Welke an e-mail requesting payment of outstanding charges in the amount of \$3,411.50 (\$675 for charges 31–60 days overdue and \$2,736.50 for charges 1–30 days overdue). MSC0004295.

Response: Admitted.

BEIC PFF120. On June 18, 2020, MSC sent Welke an e-mail requesting payment of outstanding charges in the amount of \$4,596.91 (\$675 for charges 91–180 days overdue, \$2,271.91 for charges 61–90 days overdue, \$1,425 for charges 31–60 days overdue, and \$225 for charges 1–30 days overdue). MSC0004323.

Response: Admitted.

BEIC PFF121. On June 29, 2020, Shipper C emailed Welke:

As you know, I was working on solve [sic] these issue with MSC in order to cancel the extra expenses generated by our customer []. Regarding the invoices billed to Welke, I asked them to cancel and bill new invoices to [Shipper C], they confirmed me [sic] they can’t do this because were [sic] sent to their legal department.

So, I need to ask you [sic] issue an invoice to [Shipper C] for these expenses, we will pay to Welke, and then you can cancel this overdue with MSC. The detail is in the e-mail below.

Please let me know if you are agreed.

OE Ex. 24 at BEIC 000087.

Response: Denied as stated. The email, which speaks for itself, includes additional explanatory content excluded by BEIC here and should be read in the context of the entire conversation to understand what terms such as “these issue” mean. Admitted to the extent that the quoted language appears in the email cited. BEIC000087.

BEIC PFF122. The referenced email, dated June 25, 2020 (hereinafter “June 25 e-mail”), included a MSC employee internally emailing another employee:

Good day, all below shipments were sent to legal for no payment, so there is nothing we can do now [sic]
Furthermore we have below more multistep and drop and pick unpaid and if apyment [sic] not received this week
Will be sent to legal too ... we also requested to equipment to stop the multistep for this account
As they do not pay and any new shipment will cost them a lot more in dem & det that will need payment in full
To be released

Id. at BEIC 000088

Response: Denied as stated. The email, which speaks for itself, includes additional explanatory content excluded by BEIC here and should be read in the context of the entire conversation. Moreover, the email is not “internal” and includes additional parties in copy, including persons from Welke and Shipper C as well as an additional third party. The email chain includes additional shipments/bills of lading that may or may not be understood to be included in “all below shipments.” BEIC000088-90. Admitted to the extent that the quoted language appears in the email cited notwithstanding apparent transcription errors by BEIC (multistop, not multistep). BEIC000088.

BEIC PFF123. The June 25 e-mail referenced five MSC bills of lading: MEDUBA338947 (BOL 8947); MEDUBA354803 (BOL 4803); MEDUBA355438 (BOL 5438); MEDUBA361949 (BOL 1949); MEDUBA376731 (BOL 6731). Id.

Response: Denied as stated. The email, which speaks for itself, includes additional explanatory content excluded by BEIC here and should be read in the context of the entire conversation. See reply to BEIC PFF122. Admitted to the extent that the bill of lading numbers are referenced in the email with additional details. BEIC000088.

BEIC PFF124. In response to the June 25 e-mail, a MSC employee internally addressed another MSC employee that the “invoice changed to [Consignee Company C] did not go through” and to “please send Final Notice to both Welke and [Consignee Company C] Also

please send to Pamela to change all invoices to [Consignee Company C] the [consignee]. MSC0004508.

Response: Denied as stated. The email chain here differs from the June 25 e-mail described by BEIC in its PFF122-123. The language referenced in PFF122-123 is not part of the email chain in which the response described here appears. See MSC0004508-09, *compare with* BEIC000088. A portion of the email chain appears consistent, but the email chain is not inclusive of the language described by BEIC in its PFF122-123. Admitted to the extent that the email referenced by BEIC in this PFF124, which appears on MSC0004508-09 and speaks for itself, includes the quoted language.

BEIC PFF125. On June 26, 2020—and in the same thread as the June 25 e-mail—an MSC employee internally wrote, “[w]e can not [sic] collect anything from Welke because they already replied to us that they do not have any responsibility for those shipments.” *Id.*

Response: Denied as stated. Again, the email chain here differs from the June 25 e-mail described by BEIC in its PFF122-123. The language referenced in PFF122-123 is not part of the email chain in which the response described here appears. See MSC0004508-09, *compare with* BEIC000088. A portion of the email chain appears consistent, but the email chain is not inclusive of the language described by BEIC in its PFF122-123. Admitted to the extent that the email referenced by BEIC in this PFF125, which speaks for itself, includes the quoted language. MSC0004508.

BEIC PFF126. On the same day, a MSC employee responded, “[b]e sure Pamela change all invoices to [Consignee Company C].” *Id.*

Response: Denied as stated. Again, the email chain here differs from the June 25 e-mail described by BEIC in its PFF122-123. The language referenced in PFF122-123 is not part of the email chain in which the response described here appears. See MSC0004508-09, *compare with* BEIC000088. Admitted to the extent that the email referenced by BEIC in this PFF126, which speaks for itself, includes the quoted language. MSC0004508.

BEIC PFF127. Then on June 30, 2020, Welke agreed to pay MSC the \$4,596.91 associated with BOL 4803, BOL 5438, BOL 1949, and BOL 6731 for Shipper C. OE Ex. 24 at BEIC 000087.

Response: Denied as stated. The email chain referenced speaks for itself and should be viewed in the context of the relevant email chain, including that Welke conditioned its agreement to pay invoices upon receipt of funds. BEIC000087. Admitted to the extent that the email referenced includes agreement by Welke to pay invoices following its own invoicing procedure and receipt of funds from Shipper C. *Id.*

BEIC PFF128. On July 7, 2020, Welke attempted to pay the \$4,596.91 bill for Shipper C and wrote:

Further to our telephone conversation, I have been informed

by associates with MSC that the outstanding Welke [accounts receivable] items . . . totaling \$4596.91 have been sent to your legal department. These charges are not for our account and we have had several communications with MSC regarding this issue.

We have collected the outstanding balance from [Shipper C] and will remit same on their behalf. I need to know who this payment is to be made to and if other than MSC, I will need an invoice for the charges. The charges in question are a result in driver waiting time for unloading at the consignee location.

Further, as I stated, Welke is a customs broker contracted by [Shipper C] to arrange for the customs clearance for import cargo arriving in the U.S. We are the named notify party on the [bill of lading] for arrival information only. We are not the shipper or the consignee and have no beneficial interest in the cargo shipped on any [bill of lading] for [Shipper C] as the Shipper. We require our account be cancelled and an explanation from your legal group as to why MSC insists we are responsible for these charges and under what authority you would create a financial obligation for Welke Customs Brokers when we are not a party to these transactions.

Id. at BEIC 000083.

Response: Denied that the evidence supports BEIC’s conclusion that “Welke attempted to pay the \$4,596.91 bill.” The quoted language supports the opposite which is that Welke had not yet paid the bill but would remit the payment. BEIC000083. Moreover, the email, which speaks for itself, includes additional explanatory content excluded by BEIC here and should be read in the context of the entire conversation. Denied also that Welke did not have a beneficial interest in the cargo when [[its agreement with Shipper C shows that it did.]] RA0067-68. Admitted to the extent that the quoted language appears in the email cited. *Id.*

BEIC PFF129. On July 8, 2020, Welke paid MSC the \$4,596.91 associated BOL 4803, BOL 5438, BOL 1949, and BOL 6731 for Shipper B. OE Ex. 23 at BEIC 000082.

Response: Denied as stated. The BOLs that were paid under the invoice cited also include BOL number MEDUBA338947. Admitted to the extent that the payment receipt appears to show that Welke paid the amount described.

a. Welke was not liable to pay for MSC BOL4803

BEIC PFF130. BOL 8947 lists Welke as the notify party. OE Ex. 18 at BEIC 000074.

Response: Admitted.

BEIC PFF131. BOL 8947 lists Shipper C as the shipper. Id.

Response: Admitted.

BEIC PFF132. BOL 8947 lists Consignee Company C as the consignee. Id.

Response: Admitted.

BEIC PFF133. On March 18, 2020, Shipper C notified MSC via email that BOL 8947 was arriving and then asked if MSC had contacted Consignee Company C to coordinate delivery because Shipper C “need[s] to have a schedule of this to inform to [their] Sales Dept.” MSC0001289.

Response: Denied as stated. The email, which speaks for itself, is described inconsistently by BEIC here. The email states that BOL 8947 is arriving on that date; requests confirmation as to whether MSC had contacted Consignee Company C; and states that Customer C needs a schedule “to inform our Sales Dept.” rather than Consignee Company C’s sales department. MSC0001289.

BEIC PFF134. On March 18 and March 19, 2020, DHC Trucking Inc. (DHC) emailed Consignee Company C about an appointment for the containers listed on BOL 8947. MSC0004267–73.

Response: Admitted.

BEIC PFF135. DHC carbon copied Shipper C and MSC on the emails. Id.

Response: Admitted.

BEIC PFF136. On March 19, 2020, Consignee Company C responded to DHC. MSC0004266.

Response: Admitted.

BEIC PFF137. On March 20, 2020, Consignee Company C provided a delivery address to DHC, with Shipper C and MSC carbon copied on the emails. MSC0004259–61.

Response: Admitted.

BEIC PFF138. MSC then emailed Welke to confirm the delivery address because it differed from the address provided in the delivery order. MSC0004258.

Response: Admitted.

BEIC PFF139. Welke then emailed Consignee Company C and Shipper C to confirm the address. MSC0004257.

Response: Admitted.

BEIC PFF140. A representative from Consignee Company C then confirmed that the address was correct. MSC0004256–57.

Response: Admitted.

BEIC PFF141. On March 24, 2020, in the same email chain but without Welke, DHC notified Consignee Company C and Shipper C that late pickup fees would apply to “any containers that do not make it back to the port due to appointments past 9am or waiting time going past 10am.” MSC0004254.

Response: Denied as stated. The email chain, which speaks for itself, includes context and details not restated by the BEIC here. Furthermore, the author of the email that is referenced was an MSC employee, not DHC. MSC0004254. Admitted to the extent that the quoted language appears in an email from MSC to Consignee Company C. *Id.*

BEIC PFF142. On March 26, 2020, MSC emailed Consignee Company C and Shipper C an invoice for a late pickup fee. MSC0004253–54.

Response: Denied as stated. The email dated March 26, 2020, from MSC to Shipper C and Consignee Company C, which speaks for itself, references an invoice for late charges that is described as attached and which is not part of the evidence cited by BEIC here. MSC0004253-54.

BEIC PFF143. On March 27, 2020, Shipper C emailed Welke, “[p]lease see attached invoice and emails below. Is Welke taking responsibility for these charges?” MSC0004253.

Response: Denied as stated. The email dated March 27, 2020, is from Shipper C to MSC and Consignee Company C – with Welke in copy, and speaks for itself. MSC0004253. Admitted to the extent that the email includes the quoted language. *Id.*

BEIC PFF144. Welke responded to Shipper C, “[w]e absolutely are not responsible for these charges as they are not related to the customs processing. We have nothing to do with the arranging and finalization of deliveries. Please pay these fees direct to MSC when possible.” MSC0004252.

Response: Denied as stated. The email cited by BEIC speaks for itself and is directed at parties from Shipper C and Consignee Company C. MSC0004253-54. Admitted to the extent that an email referenced includes the quoted language. *Id.*

BEIC PFF145. Shipper C then emailed MSC, Consignee Company C, and Welke “[t]hese are being invoiced to Welke but no one from Welke was copied on the original email.. [sic] Who are they supposed to be invoiced to? Also, I need a detailed explanation of what the charges are for.” MSC0004252.

Response: Denied as stated. The email cited by BEIC speaks for itself and lacks contextual information such as the inclusion of Welke on previous emails in the chain despite assertions that Welke was not included on the “original email”. MSC0004258, MSC0004252. Admitted to the extent that the email referenced includes the quoted language. *Id.*

BEIC PFF146. MSC responded to Shipper C, Consignee Company C, and Welke, “[t]he charges are for Waiting time and late pickup, Late pickup occurs when the appointment is to [sic] late and the container will not make it to the port the same day, this results in a late pickup which covers the additional trip to the truckers yard as well as overnight yard fees and security.” MSC0004251.

Response: Denied as stated. The email cited by BEIC speaks for itself and directs the email to the attention of Shipper C by addressing Mark of Shipper C in the email. MSC0004251. Admitted to the extent that the email referenced includes the quoted language. *Id.*

BEIC PFF147. An invoice for [REDACTED] was then billed to Welke. MSC0003603.

Response: Admitted to the extent that an invoice with these charges was billed to Welke. Denied to the extent that BEIC attempts to characterize the invoice as occurring after the correspondence when the invoice appears to have been printed on March 26, 2020, prior to the conclusion of the email correspondence referenced in BEIC PFF143-146. MSC0003603; MSC0004251-53.

b. Welke was not liable to pay for MSC BOL 4803

BEIC PFF148. BOL 4803 lists Welke as the notify party. OE Ex. 19 at BEIC 000078.

Response: Admitted.

BEIC PFF149. BOL 4803 lists Shipper C as the shipper. *Id.*

Response: Admitted.

BEIC PFF150. BOL 4803 lists Consignee Company C as the consignee. *Id.*

Response: Admitted.

BEIC PFF151. On April 27, 2020, at 3:36 PM, MSC emailed Welke:

Good day

Be advised that subject cntr [sic] is at the warehouse since 8am this morning for delivery.

Warehouse offloaded only part of the cargo and stopped to offloading asking the driver to stop.

Drop and pick \$957 will apply – please approve

Driver waiting time since 9am will apply as well. **\$125/hr until driver will leave**

Please also contact asap your warehouse and ask the reason why they stopped.

According to our motor carrier, they have a feeling of weak floor and having issues driving thru [sic] with the forklift.

They will have to hire labor in order to manually offload the rest of the cargo.

Urgently advise.

MSC0001542.

Response: Admitted.

BEIC PFF152. At 3:39 PM, Welke emailed MSC and Shipper C, “[I]ncluding our client as we do not have authority to advise on this matter. [Shipper C], please read below and advise [MSC] the next steps you’d like to take.” MSC0001541.

Response: Admitted.

BEIC PFF153. At 16:57—time zone unknown—MSC emailed Shipper C and Welke, “[a]ny words? Driver is running out of hours. Please advise if is ok to drop the cntr. [sic].” MSC0001540.

Response: Admitted.

BEIC PFF154. At 4:39 PM, Shipper C emailed MSC, “[t]he container has to drop and pick up. Please provide us a solution to unload the goods and delivery to our customer by truck.” MSC0001540. Welke was not carbon copied on the email. Id.

Response: Admitted.

BEIC PFF155. MSC and Shipper C proceeded to discuss the logistics and price of the driver’s waiting time and the container’s additional pick up and drop off

without Welke. MSC0001535–1540.

Response: Admitted.

BEIC PFF156. MSC and Shipper C agreed to additional fees including \$957 for an additional pick up and drop off and \$492 for an additional stopover. MSC0001539, MSC0001603.

Response: Denied as stated. The email referenced speaks for itself and includes notice by MSC to Shipper C that charges of \$957 had accrued for the shipment. MSC0001539. Separately, MSC notified Shipper C of a \$492 stopover charge, requesting approval, and the charge was approved by Shipper C. MSC0001603. Admitted to the extent that the emails referenced include notice of charges for additional pickup, drop off, and stopover services.

BEIC PFF157. An invoice for [REDACTED]
[REDACTED] was then billed to Welke. MSC0002046.

Response: Admitted to the extent that an invoice with these charges was billed to Welke. Denied to the extent that BEIC attempts to characterize the invoice as occurring after the correspondence when the invoice does not clearly show when it was received by Welke as compared to the dates of the email. MSC0001539; MSC0001603; MSC0002043. See JSF #33.

c. Welke was not liable to pay for MSC BOL 5438

BEIC PFF158. BOL 5438 lists Welke as the notify party. OE Ex. 20 at 000079.

Response: Admitted.

BEIC PFF159. BOL 5438 lists Shipper C as the shipper. Id.

Response: Admitted

BEIC PFF160. BOL 5438 lists Consignee Company C as the consignee. Id.

Response: Admitted

BEIC PFF161. On April 23, 2020, DHC emailed Consignee Company C and Shipper C that Container GLDU7732792 (Container 2792) within BOL 5438 was ready at the port. MSC0001298. Welke was carbon copied. Id.

Response: Admitted.

BEIC PFF162. Consignee Company C and DHC coordinated a pickup for April 28,

2020. MSC0001296–98.

Response: Admitted.

BEIC PFF163. On April 28, 2020 at 11:45 AM, DHC emailed Consignee Company C, Shipper C, and Welke, “[p]lease noted [sic] the charges for waiting time as per below information : From : 9:15 am to 11:40 am Total time 2:25 hrs. Free time 1 hr. Billable 1:25 hrs. Please send to us the revised [delivery order].” MSC0001293.

Response: Denied as stated. The emails referenced speak for themselves and are from DHC to Consignee Company C and MSC with others in copy. Admitted to the extent that the email referenced includes communications between DHC, MSC, Consignee Company C, and Shipper C that relate to the handling and delivery of the container as well as notice of charges accrued for delays in unloading. MSC0001293.

BEIC PFF164. At 16:43—time zone unknown—MSC sent an email to DHC, Consignee Company C, Shipper C, and Welke attaching the proof of delivery and invoice. MSC0001292.

Response: Denied as stated. The email referenced speaks for itself and references a “POD and invoice” without showing the attachment(s). Admitted to the extent that the email referenced includes communications between DHC, MSC, Consignee Company C, and Shipper C that relate to the handling and delivery of the container as well as notice of charges accrued for delays in unloading. MSC0001292.

BEIC PFF165. On April 29, 2020, at 7:29 AM, Shipper C emailed MSC, “[t]his invoice should be pay [sic] by [Consignee Company C], so please cancel it to Welke and rebill.” MSC0001291–92.

Response: Denied as stated. The email referenced speaks for itself and does not show who the invoice was addressed to where multiple entities were on the “to” line of the email that included the invoice, including DHC, MSC, Consignee Company C, and Shipper C. MSC0001291-92. Admitted to the extent that the email referenced includes communications between DHC, MSC, Consignee Company C, and Shipper C that relate to the handling and delivery of the container as well as notice of charges accrued for delays in unloading. *Id.*

BEIC PFF166. At 12:06 PM, Consignee Company C emailed Shipper C, MSC, and Welke:

I didn’t hire MSC to do anything for me, we contracted [Shipper C] on a DDP program which means that they deliver it to me. I also don’t care about MSC’s policy on 1 hour of Detention time when STANDARD BUSINESS

PRACTICE for any trucking company is 2 hours.

You can try to bill [Consignee Company C] directly but I'm not authorizing a dime to anyone but [Shipper C].

MSC 0001291.

Response: Denied as stated. The email referenced speaks for itself and included DHC and Welke in the "to" line of the email as well. Admitted to the extent that the email referenced includes communications between DHC, MSC, Consignee Company C, and Shipper C that relate to the handling and delivery of the container as well as notice of charges accrued for delays in unloading. MSC 0001291.

BEIC PFF167. At 12:35 PM, MSC emailed Shipper C, DHC, Consignee Company C, and Welke that, "[p]er policy [MSC] can only invoice the 'Invoice company' listed on the [bill of lading]. In this case, it is Welke." MSC0003975.

Response: Denied as stated. The email referenced speaks for itself and represents a statement from an MSC employee and not any official policy of MSC. Moreover, the email does not clarify what the policy is and lacks clarity without more. Admitted to the extent that the email referenced includes the quoted communications between DHC, MSC, Consignee Company C, and Shipper C that relate to the billing of charges for the handling and delivery of the container. MSC0003975.

BEIC PFF168. An invoice for [REDACTED] was then billed to Welke. MSC0001436.

Response: Admitted.

d. Welke was not liable to pay for MSC BOL 1949

BEIC PFF169. BOL 1949 lists Welke as the notify party. OE Ex. 21 at BEIC 000080.

Response: Admitted.

BEIC PFF170. BOL 1949 lists Shipper C as the shipper. Id.

Response: Admitted.

BEIC PFF171. BOL 1949 lists Consignee Company C as the consignee. Id.

Response: Admitted.

BEIC PFF172. On May 14, 2020, MSC emailed Welke with the subject, "[BOL 1949] // Containers: MEDU7350596 and MSCU8448678," saying:

See below driver detention on subject containers and advise approval of below charges when you are able. Once approved, a revised [arrival notice] will be sent acting as the invoice. [Proof of delivery] is attached, let me know if you have any questions or concerns.

MSCU8448678:11-1:30

1.5 hours = \$187.50

MEDU7350596 : 8:30 arrival, 9 start, 5pm departure

6 hours and drop fee \$100 = \$850

Admin fee per [bill of lading] = \$100

Total charges for both containers = \$1,137.50

MSC0006524 (emphasis added).

Response: Admitted.

BEIC PFF173. On May 27, 2020, at 3:50 PM, MSC emailed Welke again: “[a]s the below are valid charges that need to be paid out to the carrier, and no dispute has been received, we need to add the charges to the [arrival notice]. A revised copy will be sent.” MSC0006523.

Response: Admitted.

BEIC PFF174. At 7:54 PM, Welke responded, “[w]e have forwarded this to our client. We are simply the broker and do not have the authority to approve such charges. I have also included them on this email should you like to speak to them directly regarding these charges.” Id.

Response: Admitted.

BEIC PFF175. On June 22, 2020, MSC emailed Welke a revised arrival notice due to changing “Collect Charges” and “Chassis Number.” MSC0005523.

Response: Admitted.

BEIC PFF176. The attached arrival notice charged 100.00 USD for an “Administrative Fee” and 1037.50 USD for “Driver Waiting.” MSC0005525.

Response: Admitted.

BEIC PFF177. Then, an invoice for [REDACTED]
[REDACTED]
was then billed to Welke. MSC0004330.

Response: Admitted.

e. Welke was not liable to pay for MSC BOL 6731

BEIC PFF178. BOL 6731 lists Welke as the notify party. OE Ex. 22 at BEIC 00081, MSC0001133.

Response: Admitted.

BEIC PFF179. BOL 6731 lists Shipper C as the Shipper. Id.

Response: Admitted.

BEIC PFF180. BOL 6731 lists Consignee Company C as the consignee. Id.

Response: Admitted.

BEIC PFF181. On May 20, 2020, Welke emailed MSC and Shipper C about BOL 6731's release. MSC0003412.

Response: Admitted.

BEIC PFF182. Separately, on June 2, 2020, MSC had negotiated and discussed freight rates with Shipper C and internally noted that it had created an exception with Shipper C to apply March rates for BOL 6731. MSC0003013.

Response: Denied as stated. The email correspondence does not demonstrate that MSC and Shipper C negotiated rates or who all may have been on the conversation referenced in the email. In the email, an MSC employee states only that "per conversation with Jime, please note that we will apply March rates for these shipments from EGGER. . . as an exception for this client. . . ." Admitted to the extent that an email with this date was sent and references BOL 6731. MSC0003013.

BEIC PFF183. From June 4 through June 10, 2020, Consignee Company C and DHC then negotiated a time to pick up and then deliver the containers in BOL 6731. MSC0003401–11.

Response: Denied as stated. Admitted to the extent that the email chain referenced, which speaks for itself, includes a discussion wherein DHC and Consignee Company C arrange for a pickup and delivery schedule for two containers. MSC0003401–11.

BEIC PFF184. On June 10, 2020, DHC emailed MSC a signed bill of lading, which included a waiting time of two hours, amounting to one billable hour for a container under BOL 6731. MSC0001343.

Response: Denied. The evidence cited, which is not part of BEIC's appendix, includes a

DHC email to MSC with a photo of a partial bill of lading and where DHC asserted that the driver's wait time was two hours, including one billable hour, for a specific container. The BOL is referenced in the subject line but not visible in the photo of the bill of lading. MSC0001343.

BEIC PFF185. Then an invoice for [REDACTED] was billed to Welke. MSC0004331.

Response: Admitted.

C. Proposed Findings with Respect to MSC's Billing of Non-Operating Reefers

BEIC PFF186. A dry cargo container—also known as a dry container, dry freight container, or dry van container—is a shipping container designed for the carriage of goods other than liquids. It is the most widely used shipping container and used mainly for general cargo—it is typically made from steel, is fully enclosed, and is loaded and discharged through a set of full height rear doors. PETER BRODIE, DICTIONARY OF SHIPPING TERMS 99–100 (Informa Law from Routledge 6th ed. 2013).

Response: Admitted.

BEIC PFF187. A reefer container or refrigerated container (reefer) is an insulated shipping container used for the carriage of goods requiring refrigeration in transit—it is fitted with a refrigeration unit which is connected to the carrying ship's electrical power supply. *Id.* at 208.

Response: Admitted to the extent that reefer containers are generally designed for the purpose of carrying refrigerated cargo. Denied to the extent that reefer containers are not exclusively used to carry refrigerated cargo but may be substituted for dry containers when they are non-operational or where demand for dry containers exceeds the supply of available dry containers. RA0115-17; RA0093-94.

BEIC PFF188. Reefers require enhanced handling and care, which includes the plugging and unplugging of the units, daily monitoring, electricity, pre-trip inspections for the units and generator, fuel for the generators, and other care. MSC Reply to OE 1st RFA at ¶36.

Response: Admitted.

BEIC PFF189. NORs are reefers that do not require such enhanced care and are instead used as dry containers. MSC Reply to OE 1st RFA at ¶37; MSC Answer at ¶59; OE Ex. 30 at BEIC 000140.

Response: Admitted to the extent that reefer containers that are used to carry dry cargo do not require the same enhanced care. Denied to the extent that reefer containers that

are not operating do not require handling or costs in excess of the handling and costs associated with the use of dry containers. RA0115-17; RA0093-94. NORs are more expensive than dry containers to purchase and represent increased lost opportunity costs when they are not timely returned, are damaged, or are used to move dry cargo at lower rates. RA0093-94.

BEIC PFF190.

MSC0000006.

Response: Denied as stated. The tariff document referenced by BEIC here is not dated and speaks for itself. Denied to the extent that BEIC refers to this document as having present effect. MSC0000006.

BEIC PFF191.

Id.

Response: Denied as stated. The tariff document speaks for itself, and the BEIC fails to clarify what differences it references specifically. Moreover, the document referenced by BEIC here is undated and may not have present effect as suggested by BEIC. MSC0000006.

BEIC PFF192.

Id.

Response: Denied as stated. The tariff document speaks for itself, and the document referenced by BEIC here is undated and may not have present effect as suggested by BEIC. MSC0000006.

BEIC PFF193.

On January 26, 2022, the FMC received a complaint that MSC was charging NORs the same detention and demurrage rates as operating reefers. OE Ex. 30 at BEIC 000135.

Response: Denied to the extent that the BEIC characterizes the email chain as a “complaint.” The email chain referenced, which speaks for itself, shows an inquiry about MSC’s per diem charges for dry containers as compared to reefer containers from an apparent customer where the FMC was copied. *See* BEIC 000134-38.

BEIC PFF194.

Included in the complaint was an email dated January 26, 2022, from East West Container Line, Inc. asking MSC to revise the detention and demurrage charge because the container was a NOR. Id. at BEIC 000137.

Response: Denied to the extent that the BEIC characterizes the email chain as a “complaint.” The email chain referenced, which speaks for itself, references an inquiry about MSC’s per diem charges for dry containers as compared to reefer containers from an apparent customer where the FMC was carbon copied. *See* BEIC 000134-38.

Admitted to the extent that East West Container Line inquired to MSC about a revised per diem charge.

BEIC PFF195. MSC replied to East West Container Line, Inc., “[p]lease note that the charges are correct. The reefer rates apply to the box itself regardless of whether the reefer was non-operating or active.” Id. at BEIC 000135–36.

Response: Denied as stated. The email chain referenced, which speaks for itself, references an inquiry about MSC’s per diem charges for dry containers as compared to reefer containers from an apparent customer where the FMC was carbon copied. See BEIC 000134-38. Admitted to the extent that an MSC employee emailed East West Container Line with the quoted language.

BEIC PFF196. When asked to clarify, MSC responded that, “[d]ry containers are boxes that do not have refrigeration capabilities. All Reefers encompasses [sic] both operating and non-operating reefer units.” Id. at BEIC 000134.

Response: Denied as stated. The email chain referenced speaks for itself but does not represent any official position of MSC on the same. BEIC 000134. Admitted to the extent that an MSC employee emailed East West Container Line with the quoted language.

BEIC PFF197. During an audit on February 8, 2022, the Commission asked MSC to “provide any other justification or reasoning for charging additional demurrage or detention for NOR containers beyond regular dry cargo equipment.” OE Ex. 31 at BEIC 000140.

Response: Admitted.

BEIC PFF198. MSC responded on March 9, 2022:

Demurrage and Detention (“D&D”) rates for NOR units are by default the rates applied to DRY units. Therefore MSC USA does not apply the same D&D rates to NOR and REEFER units, except in random billing mistakes which are corrected.

This default policy of applying DRY D&D rates to NOR units is not at the moment explicitly laid down in MSC’s tariff, but it is our intention to modify our tariff entry to make this more plain.

Id.

Response: Admitted.

BEIC PFF199. The Commission also asked MSC to detail when it “mitigates or waives demurrage or detention for NOR containers to regular dry or some other rate.” Id.

Response: Admitted.

BEIC PFF200. MSC responded, “[i]n instances where a billing error causes a NOR unit to be mis-rated as a REEFER unit for demurrage and detention, MSCUSA will correct and refund/ credit the billed amounts as soon as the mistake becomes known.” Id.

Response: Admitted.

BEIC PFF201. Further auditing revealed that MSC had assessed the operating reefer rate on NOR shipments 2,629 times in 2021. MSC Answer at ¶60, 61; see also Jt. Stip. Fact ¶40.

Response: Denied as stated. The evidence cited, which speaks for itself, does not support the premise that auditing was undertaken. MSC Answer at ¶60, 61; see also Jt. Stip. Fact ¶40. Admitted to the extent that the operating reefer rate was charged on certain shipments when NORs were used and that these totaled 2,629 charges.

BEIC PFF202. In 2021, on at least 925 occasions, MSC’s customers disputed the operating reefer detention and demurrage rate resulting in refunds totaling \$1,201,639.80. MSC Answer at ¶60; see also [REDACTED]

Response: Admitted.

BEIC PFF203. In 2021, on at least 1,704 occasions, operating reefer charges were applied to NORs and went undisputed resulting in MSC retaining approximately \$857,944.57 in additional revenue. MSC Answer at ¶61.

Response: Admitted.

BEIC PFF204. On February 2, 2024, Mr. Marco Sidoti (Mr. Sidoti) signed an affidavit in preparation for this proceeding. MSC0007310–7314.

Response: Admitted.

BEIC PFF205. Sidoti is the Nationwide Demurrage/Detention Director at MSC and has “thorough knowledge of MSC’s policies with respect to the assessment and collection of the Charges for non-operating reefer (i.e. refrigerated) contains (“NORs”).” MSC0007310 at ¶1, 3.

Response: Admitted.

BEIC PFF206. Sidoti attests that “upon discovery” of the misapplication of operating reefer rates to NORs, the issue was “promptly corrected,” and “ensured

that NORs were correctly billed at the rate for dry containers moving forward.” MSC0007313 at ¶17.

Response: Admitted.

BEIC PFF207. Sidoti further swears that this issue occurred “[d]uring a period in 2021” and that the 2,629 applications of “reefer Charges to NORs was corrected on or about September 16, 2021, and has not been an issue since.” MSC0007313–14 at ¶15, 21; MSC0000365 (showing an undated email to Sidoti attesting that the NOR issue should not have continued after 2021); MSC000489–93 (displaying an October 10, 2021 update to Sidoti that the Houston NOR calculations worked).

Response: Denied as stated. Mr. Sidoti’s affidavit, which speaks for itself, described a period during 2021 until September 2021 and notes that the error, described in his affirmation and which caused NORs to be improperly billed, was corrected on or about September 16, 2021.

BEIC PFF208.

MSC0000773 (noting that

).

Response: Denied. BEIC improperly relies on hearsay here to support its conclusion. Moreover, the email cited, which speaks for itself, was sent in December of 2022 and describes a

MSC0000773-

76.

BEIC PFF209. Despite MSC’s claims that the NOR issue was fixed on September 16, 2021, many MSC customers disputed MSC’s charges well after September 16, 2021, while other customers were still charged operating reefer rates well after September 16, 2021. See infra BEIC PFF210– 283.

Response: Denied as stated. BEIC improperly cites to its own PFFs here; responses are raised below with respect to each corresponding PFF.

1. Recorded NOR Disputes—

a. *[[Topocean]] Dispute 1*

BEIC PFF210.

MSC0000846.

Response: Denied. The email referenced by BEIC appears to be an email send on August

3, 2021, from MSC, not [REDACTED] to another MSC email account, a [REDACTED] account and speaks for itself. MSC0000846. This exchange addresses invoices that were issued prior to September 16, 2021, when the NOR systems billing error was identified and corrected. MSC0007313-14.

BEIC PFF211. [REDACTED]

MSC0000841-46.

Response: Denied as stated. The email chain referenced by BEIC speaks for itself. Moreover, the email chain began with an MSC email as described in the response to PFF210, and followed with additional details from [REDACTED] which were directed to MSC's Equipment Team and [REDACTED] on August 4, 2021. MSC0000841-46. Admitted to the extent that, following additional correspondence, MSC replied advising that the containers had been updated to reflect that a genset was not required. MSC0000841-42.

BEIC PFF212. [REDACTED]

MSC0000839-41.

Response: Denied. On September 3, 2021, [REDACTED] asked MSC's Equipment Team and [[Savannah Port]] to confirm that a different set of containers were accurately reflected in the port system as not requiring gensets. MSC0000840-41.

BEIC PFF213. [REDACTED]

MSC0000839-41.

Response: Denied. On September 3, 2021, [REDACTED] asked MSC's Equipment Team and [REDACTED] to confirm the working days for NOR containers generally and to advise the LFDs for each container. MSC0000840-41.

BEIC PFF214. [REDACTED]

MSC0000838.

Response: Denied as stated. On September 3, 2021, following correspondence from [REDACTED] noted that the "import reefers are now updated in port system to reflect genset not required." Denied to the extent that BEIC characterizes the lack of discussion regarding the "last free day issue" as a failure to address the last free day for [REDACTED]

BEIC PFF215. [REDACTED]

MSC0000386.

Response: Denied that the evidence cited supports BEIC's assertions here. MSC000386 shows an email dated December 21, 2021, which speaks for itself and makes reference to

two containers under one bill of lading. BEIC's reference to free time and September 3, 2021, correspondence is not reflected in MSC0000386. This exchange addresses invoices that were issued prior to September 16, 2021, when the NOR systems billing error was identified and corrected. MSC0007313-14.

BEIC PFF216.

Id.

Response: Denied as stated. The email correspondence speaks for itself. Admitted to the extent that [REDACTED] asked that Invoice No. 100000189127M be canceled and noted that the pickup date and last free day for container # MSCU7393837 were the same date.

BEIC PFF217.

MSC0000386.

Response: Denied as stated. The email referenced, which speaks for itself, does not reference the type of container. MSC0000386. Admitted to the extent that [REDACTED] requested rate adjustments. This exchange addresses invoices that were issued prior to September 16, 2021, when the NOR systems billing error was identified and corrected. MSC0007313-14.

BEIC PFF218.

MSC0000384.

Response: Admitted.

BEIC PFF219.

MSC0000383.

Response: Denied as stated. The email referenced, which speaks for itself, requested an update regarding the invoices after MSC confirmed the accuracy of the last free day for the containers. MSC0000383-84.

BEIC PFF220.

Id.

Response: Admitted.

b. [[Top Ocean]] Dispute 2

BEIC PFF221.

MSC0000748.

Response: Denied that the email proves the invoices were incorrect. The email referenced, which speaks for itself, is a request from [REDACTED] to the “MSC Dispute Team” requesting that invoices be adjusted based on feedback from [REDACTED] trucker and not [REDACTED] firsthand knowledge. As a result, this conclusion is based on hearsay and is improper. Admit to the extent that the summary of the email is correct.

BEIC PFF222.

Id.

Response: Denied as stated. The email referenced, which speaks for itself, includes a summary of the invoices and not the invoices themselves. Moreover, the assertion made by BEIC here is based on hearsay. Admitted to the extent that the email includes a list of invoices that [REDACTED] states, based on its trucker’s feedback and not its own firsthand knowledge, were incorrect. MSC0000747-48.

BEIC PFF223.

MSC0000747.

Response: Denied as stated. The email referenced, which speaks for itself, included a list which contained invoice numbers but not invoices. Admitted to the extent that the chart, referencing invoices, indicated that the corresponding out gate dates and empty return dates are later than September 16, 2021.

BEIC PFF224.

MSC0000745–46.

Response: Denied as stated. The pages referenced by BEIC here include one email from [REDACTED] to MSC, which speaks for itself, and the email is preceded by another email from MSC providing an update to [REDACTED] that same day. MSC0000745-56. Admitted to the extent that, [REDACTED] on January 6, requested that MSC resolve its complaints as soon as possible. *Id.*

BEIC PFF225.

MSC0000744 (emphasis added).

Response: Denied as stated. The email referenced, which speaks for itself, confirmed that NORs would be granted four working days of free time and be billed at the dry container rate. Admitted to the extent that the email referenced includes the quoted

language.

BEIC PFF226.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

MSC0000743 (emphasis in original).

Response: Denied as stated. The email referenced, which speaks for itself, includes additional context in the surrounding emails, including efforts to assist [REDACTED] and requests for disputes in order to resolve NOR invoice challenges. MSC0000743-49 Admitted to the extent that the quoted language was included in an email from [REDACTED] to two MSC employees.

BEIC PFF227.

[REDACTED] MSC0000741.

Response: Denied as stated. The email referenced, which speaks for itself, references a fix but does not specify what issue or issues may have caused the concerns raised by [REDACTED]. Admitted to the extent that the quoted language appears in an email from an MSC employee on January 11, 2022.

BEIC PFF228.

[REDACTED] MSC0000737-40.

Response: Denied as stated. The emails referenced, which speaks for themselves, also included intermediary accommodations such as [REDACTED] MSC0000740. Moreover, BEIC relies on emails rather than invoices here to support its conclusion that invoices were not corrected. Admitted to the extent that [REDACTED] sought assistance from MSC via email on the dates listed.

BEIC PFF229.

MSC0000736.

Response: Denied as stated. The email referenced, which speaks for itself, is addressed to a single MSC employee who was engaged in assisting [REDACTED] to resolve its disputes. Admitted to the extent that [REDACTED] sent an email on the date referenced with the quoted language.

BEIC PFF230.

MSC0000735.

Response: Denied as stated. The email referenced, which speaks for itself, includes additional context not supplied by BEIC here. Admitted to the extent that Mr. Sidoti was included in correspondence with [REDACTED] and that [REDACTED] should contact him directly to raise any further concerns.

BEIC PFF231.

MSC0000734.

Response: Denied as stated. The email referenced, which speaks for itself, includes a list of invoices but not invoices themselves as BEIC states. Admitted to the extent that [REDACTED] provided a list of shipment details, including invoice numbers, and noted that a trucker brought the “case” to [REDACTED] attention.

BEIC PFF232.

MSC0000733.

Response: Denied as stated. The email referenced, which speaks for itself, does not reference cases or include invoices. Admitted to the extent that Mr. Sidoti forwarded the email from [REDACTED] internally for review and resolution.

c. [REDACTED] *Dispute 3*

BEIC PFF233.

MSC0000824-833.

Response: Denied as stated. The emails referenced, which speaks for themselves, and include additional context, including replies from MSC responding to questions raised

by [REDACTED] which address questions raised. Admitted to the extent that [REDACTED] sent emails raising questions about July shipments during the dates referenced by BEIC. This exchange addresses invoices that were issued prior to September 16, 2021, when the NOR systems billing error was identified and corrected. MSC0007313-14.

BEIC PFF234. [REDACTED]

MSC0000823.

Response: Admitted to the extent that the MSC employee also referred [REDACTED] emails to a “Per Diem team.” Denied that the full context of the email is restated by BEIC here. The email referenced, which speaks for itself, references a “telecom” that an MSC per diem billing representative appears to have had with [REDACTED] and includes [REDACTED] in the correspondence.

BEIC PFF235. [REDACTED]

MSC0000822.

Response: Admitted to the extent that a supplemental notice regarding invoices was provided to [[Topocean]] on March 24, 2022. Denied that the notice was the first instance where [[Topocean]] received this information or that the invoices were not revised earlier. Other evidence shows that MSC notified [[Topocean]] on December 22, 2021, that its invoices had been revised, and revised versions would be sent out shortly and would be directed to the trucker. RA0006-07.

d. [REDACTED] *Dispute 4*

BEIC PFF236. [REDACTED]

Response: Denied as stated. The email referenced, which speaks for itself, does not discuss a “rate of four days of free time” or reference rates at all. The email appears to request that MSC update the last free day for two containers. Admitted to the extent that [REDACTED] emailed MSC employees on January 18, 2022, regarding the last free day for two containers. Moreover, one of the containers listed (Container TGHU9978816) appears to also be captured in what BEIC characterizes as “Dispute 6.” See RA0168; RA0170.

e. [REDACTED] *Dispute 5*

BEIC PFF237. [REDACTED]

MSC0000767; see also MSC0000770–72.

Response: Denied as stated. The evidence to which BEIC cites here, which speaks for itself, shows part of two emails, neither of which supports its conclusion here. MSC0000767. Moreover, the single invoice cited by BEIC does not support the conclusion that it is for detention and demurrage but reflects limited information.

MSC0000770-72. Admitted to the extent that MSC invoiced [REDACTED] for charges that [REDACTED] appears to dispute. MSC0000767-72.

BEIC PFF238.

[REDACTED]
MSC0000766; MSC0000772 (displaying [REDACTED])

Response: Denied as stated. The email referenced, which speaks for itself, references only one invoice and requests an updated invoice. MSC0000766. Admitted to the extent that [REDACTED] requested that MSC reduce the rate charged to it for detention under one invoice. *Id.*

f. [REDACTED] *Dispute 6*

BEIC PFF239.

[REDACTED]
MSC0000755.

Response: Denied. The email referenced, which speaks for itself, does not include the invoices themselves but only references the two invoices. Moreover, it is not clear from the email how the invoices were circulated to [REDACTED] because [REDACTED] is not listed on the "to" line of the email.

BEIC PFF240.

[REDACTED]
Id.

Response: Denied as stated. The email referenced, which speaks for itself, requests that the free time be updated in the invoices but does not dispute the rate. Admitted to the extent that [REDACTED] requested that MSC update two invoices based on its view that the free time for a particular container was not correct.

BEIC PFF241.

[REDACTED] MSC0000753–
54.

Response: Denied as stated. The email referenced, which speaks for itself, does not include the invoices themselves. MSC0000753– 54. Admitted to the extent that an MSC employee appears to have provided [REDACTED] with a revised invoice.

BEIC PFF242.

[REDACTED]
MSC0000753.

Response: Denied as stated. The email referenced, which speaks for itself, does not show the invoices themselves. Admitted to the extent that [REDACTED] requested additional revised invoices from MSC.

BEIC PFF243.

Id.

Response: Denied as stated. The email referenced, which speaks for itself, does not demonstrate that [REDACTED] did not receive a response but only that the evidence does not include a response. Admitted to the extent that [REDACTED] sent an additional email to MSC employees on January 25, 2022.

BEIC PFF244.

MSC0000778.

Response: Denied. The email referenced, which speaks for itself, does not include the email chain as alleged by BEIC here. The email includes two lines of text that appear to have been copied from the email chain referenced in BEIC PFF239-44. *See* MSC0000778, *compare with* MSC0000753-55.

BEIC PFF245.

Id.

Response: Denied as stated. The email referenced, which speaks for itself, does not include the email chain as alleged by BEIC in its PFF244. Admitted to the extent that Mr. Sidoti appears to have forwarded the email referenced at MSC0000778 to another MSC employee.

g. [REDACTED] *Dispute 7*

BEIC PFF246.

MSC0000973.

Response: Denied as stated. The email referenced, which speaks for itself, does not include the original or revised invoices but only [REDACTED] request that MSC provide a refund. Admitted to the extent that [REDACTED] requested a refund on May 12, 2022. MSC0000973. This exchange addresses invoices that were issued prior to September 16, 2021, when the NOR systems billing error was identified and corrected. MSC00007313-14.

BEIC PFF247.

Id.

Response: Denied as stated. The email referenced, which speaks for itself, does not include the original or revised invoices but only [REDACTED] request that MSC provide a refund and does not demonstrate that the invoice paid was incorrect. MSC0000973. Evidence indicates that the refund was paid to [REDACTED]. *See* MSC0000777. Admitted to the extent that [REDACTED] requested a refund on May 12, 2022, and that a [REDACTED] appears to have paid an invoice on July 6, 2021.

2. Recorded NOR Dispute—[REDACTED]

BEIC PFF248. [REDACTED]

[REDACTED]

MSC0000288.

Response: Denied as stated. The referenced email, which speaks for itself, is an internal email between employees of [REDACTED] MSC0000288. Admitted to the extent that the quoted language appears on the page cited by BEIC. MSC000028. This exchange addresses invoices that were issued prior to September 16, 2021, when the NOR systems billing error was identified and corrected. MSC0007313-14.

BEIC PFF249. [REDACTED]

MSC0000286–87.

Response: Denied as stated. In response to an email, which speaks for itself, from [REDACTED] to MSC asking whether there was “any way to mitigate some of the below damage,” MSC requested container numbers and bills of lading stated “let us get on it asap and go down all avenues”. MSC0000286-87.

BEIC PFF250. [REDACTED]

MSC0000286.

Response: Denied as stated. BEIC does not cite to the report referenced above, only to the email stating that the report exists. As such, there is no evidence to support the contentions stated in the above quoted statements. MSC0000286.

BEIC PFF251. [REDACTED]

Id.**Response:** Admitted.

BEIC PFF252. [REDACTED]

MSC0000285.

Response: Denied as stated. BEIC mischaracterizes the referenced email, and the email, which speaks for itself, includes additional explanatory content excluded by BEIC here. In the email, Naimiarfa requests advice and assistance from another MSC employee on next steps in assisting [REDACTED]

BEIC PFF253.

Id.

Response: Denied as stated. BEIC mischaracterizes the content of the referenced email which speaks for itself. This email, written by an MSC Global NVOCC Sales Manager, states his personal opinion on [REDACTED] business practices and how it may react next. It does not show that MSC believed that the [REDACTED] In relevant part, the email states “just had a call with [REDACTED] Mgmt issue on hand for these NOR is escalating pretty high. Do you think there is anyway you can guide me where to go from here? Knowing [REDACTED] they will escalate this to HQ given the high \$\$\$.” MSC0000285.

BEIC PFF254.

MSC0000284.

Response: Denied as stated. Denied that “DDP” stands for Delivered Duty Paid rather than Demurrage, Detention, and Per Diem. The referenced email, which speaks for itself, includes additional explanatory information excluded by BEIC here. The email also discusses whether the reefers were plugged in, and whether the VIP point of contact for the [REDACTED] account had been contacted by [REDACTED] to discuss this matter. MSC0000284.

BEIC PFF255.

MSC0000283.

Response: Denied as stated. BEIC mischaracterizes the content of the referenced email as an “issue.” The referenced email, which speaks for itself, asks for Sidoti’s input, discusses [REDACTED] outstanding D&D amounts, and provides information on why NORs were used for the [REDACTED] account. MSC0000283.

BEIC PFF256.

Id.

Response: Denied as stated. The referenced email, which speaks for itself, includes additional explanatory information excluded by BEIC here. Admitted to the extent that the quoted language appears in the email. In addition to the language quoted by BEIC, the email states “[f]orgive me if I am getting old and forget things but honestly I do not recall to have seen this case before. Was this brought to the attention of anyone in D&D? Upon her return, Tina will apply the standard free time to these containers and once the

credit is available we will send instructions for the refund.” MSC0000283.

BEIC PFF257.

MSC0000457.

Response: Admitted.

BEIC PFF258.

MSC0000456.

Response: Admitted.

BEIC PFF259.

MSC0000454.

Response: Admitted.

BEIC PFF260.

MSC0000453.

Response: Denied as stated. The referenced email, which speaks for itself, includes additional explanatory information excluded by BEIC here. The email includes a chart that explains what happened for each of the requested invoices (*See e.g.* “no invoices for det & dem issued, pick up before free time ended.”). MSC0000453.

3. Recorded NOR Disputes—Unnamed Companies

a. Dispute 1

BEIC PFF261.

MSC000587.

Response: Admitted.

BEIC PFF262.

Id.

Response: Admitted.

b. Dispute 2

BEIC PFF263.

MSC0001026; see also MSC0001016–27.

Response: Denied as stated. Here BEIC refers to emails that do not indicate that there were “several hundred” of disputed bills of lading that charged refer rates for non-operating reefers. MSC0001016–27.

BEIC PFF264.

MSC0001015.

Response: Denied as stated. The email speaks for itself and states that “if they have already made payment then it will either show up on their account as a credit or they will be eligible for a refund.” MSC0001015.

4. Recorded NOR Dispute—

BEIC PFF265.

MSC0000631–644.

Response: Denied as stated. It is incorrect that the emails sought to ascertain the detention and demurrage fees for 40’ High Cubes. These emails, which speak for themselves, asked for confirmation of the free time granted for 40’HR NORs for delivery in New York. MSC0000631–644.

BEIC PFF266.

MSC0000631.

Response: Admitted.

BEIC PFF267.

MSC0000627–30.

Response: Denied as stated. The emails, which speak for themselves, request that MSC provide contact information for the correct person at MSC so that [REDACTED] could reach out regarding revision of the invoices. MSC0000627–30.

BEIC PFF268.

MSC0000627.

Response: Admitted.

BEIC PFF269.

MSC0000626

Response: Denied as stated. This email, which speaks for itself, includes additional explanatory content excluded by BEIC here. This email discusses who overseas terminal charges vs. per diem charges, and states “we only manage and send extended time to the terminal. Tariff time should be applied by the terminal themselves. This includes considerations for NOR special equipment. If not please kindly check with terminal directly as we do not manage tariff time at [REDACTED]” MSC0000626.

BEIC PFF270.

MSC0000625.

Response: Denied as stated. This email, which speaks for itself, was not a response to the previous email but rather was a new outreach to MSC’s per diem team. Admitted to the extent that the quoted language appears in the email. MSC0000625.

BEIC PFF271.

MSC0000619–20.

Response: Denied as stated. This email is dated December 8, 2021, and does not reference BOL 9484.

BEIC PFF272.

MSC0000619.

Response: Admitted.

BEIC PFF273.

[REDACTED]

MSC0000618.

Response: Admitted.

BEIC PFF274.

[REDACTED]

MSC0000614–618.

Response: Denied as stated. MSC responded to [REDACTED] emails on February 1st and February 3rd of 2022 directing [REDACTED] to the correct MSC point of contact to assist with its questions. MSC0000614–618.

BEIC PFF275.

[REDACTED]

MSC0000612.

Response: Denied as stated. The referenced email, which speaks for itself, states that “there is a little backlog, but rest assured they will get back to you asap.” MSC0000612.

BEIC PFF276.

[REDACTED]

MSC0000611.

Response: Admitted.

BEIC PFF277.

Response: Denied as stated. MSC produced two spreadsheets showing parties that had received refunds related to NOR containers. Exhibit B, not referenced by BEIC here, shows [REDACTED] as an entity that received a refund by check. See RA0086.

5. Recorded NOR Dispute—[REDACTED]

BEIC PFF278.

MSC0001151.

Response: Admitted.

BEIC PFF279.

[REDACTED]

MSC0001150.

Response: Denied as stated. The referenced email, which speaks for itself, includes explanatory information that BEIC does not include here. The email states that according to MSC's records, the container is a 40' reefer. MSC0001150.

BEIC PFF280.

[REDACTED]

Id.

Response: Admitted.

BEIC PFF281.

[REDACTED]

MSC0001149.

Response: Admitted.

BEIC PFF282.

[REDACTED]

Id.

Response: Admitted.

BEIC PFF283.

[REDACTED]

Response: Denied. Denied as to the characterization that NORs were used for the referenced moves or that the disputed charge is relevant to the proceeding. The subject heading of the email makes clear that the invoice being disputed is for a chassis and not a NOR container. MSC00001149-51.

D. Proposed Findings with Respect to MSC Failure to Publish its Tariff Rates

BEIC PFF284. Throughout 2021, MSC's U.S. tariff contained demurrage, detention, and per diem charges (collectively, "Charges") for reefer containers and dry containers. Jt. Stip. Fact at ¶38.

Response: Denied as stated. PFF284 misstates Jt. Stip. Fact at ¶38, which states that "[d]uring 2021, MSC's tariff contained demurrage, detention, and per diem charges (collectively, "Charges") for reefer containers and dry containers.

BEIC PFF285. Throughout 2021, MSC's U.S. tariff did not contain separate Charges for non-operating reefer containers (NORs). Id. at ¶39.

Response: Denied as stated. PFF285 misstates Jt. Stip. Fact at ¶39, which states that "[d]uring 2021, MSC's tariff did not contain separate Charges for non-operating reefer containers (NORs).

BEIC PFF286. MSC's tariff continued to lack separate Charges for NORs until March 9, 2023. MSC Answer at ¶83; see also OIH at ¶83.

Response: Admitted.

BEIC PFF287.

[REDACTED]

Response: Admitted.

BEIC PFF288.

[REDACTED]

Response: Admitted. MSC0000743.

BEIC PFF289.

[REDACTED]

Response: Admitted.

BEIC PFF290.

[REDACTED]

Response: Admitted.

BEIC PFF291. MSC published a rule that distinguishes between the NORs and reefers of other countries—Rule 300 of MSC’s tariff MESU-012 (Rule 300)—and it became effective on December 9, 2015. OE Ex. 38 at BEIC 0000189 (showing that non-operating reefers in Afghanistan are treated as dry containers), BEIC 0000198 (showing that non-operating reefers in Canada are treated as dry containers), BEIC 0000222 (showing that non-operating reefers in Latvia are treated as refrigerated containers), BEIC 0000252 (showing that non-operating reefers in Trinidad and Tobago are treated as dry containers); OE Ex. 46 at BEIC 292 (showing the “Filing Record” of Rule 300, which displays the last published rule at December 9, 2015) (<https://rates.descartes.com/pta/DxiServlet.WsServlet/getFrame/We2J1fo000>) (last accessed on Apr. 3, 2024).

Response: Admitted.

EXHIBIT B

RESPONDENT'S PROPOSED FINDINGS OF FACT

A. Merchant Clause

1. MSC's policy was to bill the notify party only when either (a) the consignee was a forwarder located outside of the United States; or (b) the consignee had no credit arrangement with MSC. MSC0000033 at BEIC MSC Production 0034.
2. John S. Connor had a [REDACTED] with respect to which MSC sought to bill it for charges. RA0069-73.
3. John S. Connor had a freight account with MSC. BEIC PFF104.
4. V. Alexander had a beneficial interest in the cargo with respect to which MSC sought to bill it for charges. RA0159-62.
5. Welke USA had a beneficial interest in the cargo with respect to which MSC sought to bill it for charges. RA0066-67
6. Welke USA forwarded delivery orders to MSC for the cargo with respect to which MSC sought to bill it for charges. RA0060-64; RA0057-58; RA0041-55; RA0030-39.
7. Welke USA routinely paid MSC for charges assessed on cargo with respect to which Welke provided services. RA0041-55; RA0030-39; RA0024-28.
8. On or about May of 2021, [REDACTED] RA0082.
9. BEIC now seeks to penalize the five charges that John S. Connor shared in response to the [REDACTED] even though John S. Connor did not raise a complaint on its own volition. *See* RA0075-80; *see* RA0076, *compare with* BEIC000066; *see* RA0077, *compare with* BEIC000047; *see* RA0078, *compare with* BEIC000059; *see* RA0079, *compare with* BEIC000053; *see* RA0080, *compare with* BEIC000041.
10. In total, BEIC identified eighteen (18) invoices that are alleged to violate the Shipping Act because of billing to a notify party. Attachment A to Order.
11. The 18 invoices total \$10,109.41. *See* BEIC000003-4; BEIC000007; BEIC000010; BEIC000013; BEIC000015; BEIC000017; BEIC000020; BEIC000041; BEIC000047; BEIC000053; BEIC000059; BEIC000066; BEIC000082.
12. At least several of the 18 invoices were waived or canceled, meaning the total amount collected by MSC was less than \$7,000. MSC0001059-60 at BA MSC Production 309-10.
13. The final rule in Docket No. FMC-2022-0066, Demurrage and Detention Billing Requirements, was published in February 2024 and goes into effect on May 28, 2024. 89 Fed. Reg. 14330 (February 26, 2024).

B. NORs

14. During 2021 it was MSC's policy to bill demurrage for NORs at the rates applicable to dry containers. This approach was standard, and all terminals were instructed to bill NORs at the dry rates. BA MSC Production 196; BEIC000139-140; Sidoti Aff. at 6.

15. MSC assessed demurrage on 11,480 NORs in 2021, of which 8,851 were assessed the charges applicable to dry containers. BEIC000139-0140.

16. On or about September 2, 2021, MSC became aware that NORs were being assessed the demurrage charges applicable to operating reefers. BA MSC Production at 505, Sidoti Aff. at 7.

17. The application of reefer charges to NORs was traced to the inadvertent omission of a flag relating to NORs in MSC's rating software. BA MSC Production at 505, Sidoti Aff. at 8.

18. The root cause of these incorrect ratings was traced back to a clerical error involving MSC's Management Agency Rating System ("MARS") system, where all tariffs are stored and regularly updated, including the rate for an NOR by applying a flag "Yes/No" to the relevant container type. BA MSC Production at 505-07, Sidoti Aff. at 8-16.

19. MSC's Integrated Logistics Invoice Module ("ILIM") system contains the workflow for generating invoices for charges. It monitors container movements from the date of vessel discharge or gate-out, depending on the charge ("start equipment event") until the return of the container ("end equipment date"). *Id.*

20. ILIM calculates charges based on data by connecting to MARS, which contains the applicable tariff data for the specific shipment, including factors like trade, route, cargo category, and equipment type, including the type of container, for example 20-foot, 40-foot, high cube, reefer, dry, or NOR. *Id.*

21. ILIM first checks whether MARS has a service contract rate for the customer. If not, ILIM calculates the charge based on the general tariff recorded in MARS for the charge, considering the specifics of the shipment and the equipment type. *Id.*

22. If ILIM, through data transmitted via the Electronic Data Interchange (EDI) from their parties (such as terminals, depots, rail ramps), determines that charges are due, it generates an invoice for these charges. ILIM also takes into account whether a reefer container was operating or not based on the vessel's electronic manifest. *Id.*

23. ILIM reads the tariff in MARS when it calculates the charges for a particular invoice, including the "Yes" flag contained in MARS that indicates the rate for NORs. *Id.*

24. If a container is marked as an NOR in ILIM, but MARS does not flag the tariff as an NOR to ILIM by answering "Yes" to the question "Is (it) non-operational reefer? Yes/No", then ILIM will apply the reefer rate when generating an invoice for charges. *Id.*

25. During a period in 2021, the “is (it) non-operational reefer? Yes/No” flag in the general tariff was inadvertently left blank. This omission led ILIM to apply the standard reefer tariff to both operating and non-operating reefers under the general tariff. *Id.*

26. The absence of the “Yes/No” flag in MARS was due to a clerical error: it was overwritten with a blank entry during a tariff update in MARS, either caused by copying and pasting new tariff conditions for multiple terminal locations or accidentally removing the “Yes” flag. Sidoti BA MSC Production at 507, Sidoti Aff. at 16.

27. Upon discovering this issue, MSC promptly corrected it by manually reinstating the flag in MARS. BA MSC Production at 507, Sidoti Aff. at 17.

28. The incorrect billing of NORs affected only shipments subject to the general tariff. Shipments under service contracts were billed correctly. BA MSC Production at 508, Sidoti Aff. at 18.

29. At no point did MSC intend to bill charges for NOR containers at the reefer rate. BA MSC Production at 508, Sidoti Aff. at 19.

30. The error was corrected on or about September 16, 2021. BA MSC Production at 508, Sidoti Aff. at 21.

31. There has been no systemic application of reefer Charges to NORs since September 2021. *Id.*

32. MSC collected demurrage of \$857,955.57 on 1,704 of the 2021 NOR shipments. BEIC PFF203.

33.. MSC has a process by which it processes requests for refunds and disputes for charges that customers view as inaccurate or inappropriate. *See* BA MSC Production at 030-31, MSC0000029-30.

34. When MSC received requests for refunds or extensions for free time related to NORs, MSC promptly evaluated and provided updated invoices, updated free time, and/or issued refunds. *See, e.g.* BA MSC Production at 309-10, MSC0001059-60; BA MSC Production at 162-63; MSC0000489-93.

35. MSC voluntarily refunded 925 NOR overcharges that occurred in 2021. Response to BEIC Third Interrogatories, #45, BA Discovery Materials at 031; Initial Order at 60.

36. MSC has refunded the difference between dry charges and reefer charges to any customers whose NORs were assessed reefer charges, regardless of whether that customer notified MSC about their NORs being assessed reefer charges. Response to BEIC Third Interrogatories, #45, BA Discovery Materials at 031.

37. The refund process was complex, often requiring MSC to identify the proper party to receive the refund, since charges were often paid by third parties (such as motor carriers). MSC0000374-

75. Moreover, there were other administrative considerations, such as obtaining required tax documentation, that complicated the refund process. *Id.*

38. BEIC's self-described "[REDACTED] Dispute 1" addressed shipments moved prior to August 4, 2021, and before September 16, 2021, when MSC addressed the systems issue which caused incorrect NOR billing. BEIC PFF210.

39. BEIC's self-described "[REDACTED] Dispute 3" addressed invoices issued in July 2021, before September 16, 2021. BEIC PFF233.

40. BEIC's self-described "[REDACTED] Dispute 7" addressed invoices issued in July 2021. *See* BEIC PFF246-247, *compare with* RA0022, RA0020.

41. BEIC's self-described "Recorded NOR Disputes – Unnamed Companies" do not show that any of the communications or requests for updated NOR charges relate to invoices issued after September 16, 2021, when the systems issue related to NORs was resolved. *See* BEIC PFF265-283.